

FINANCIAL INFORMATION



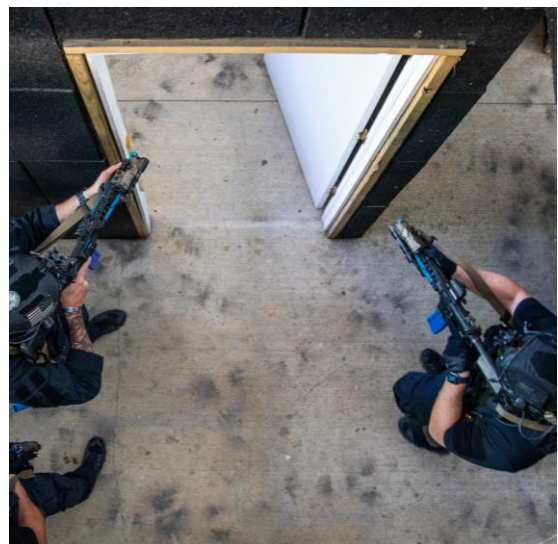


SECTION CONTENTS

The Financial Information section underscores the Department's commitment to responsible stewardship of taxpayer dollars and compliance with financial management standards.

It begins with a Message from the Senior Official Performing the Duties of the CFO, followed by the Department's Financial Statements, including the Balance Sheet, Statement of Net Cost, and more. An independent table of contents and hyperlinks enhance navigation through the Notes to the Financial Statements. Additionally, Required Supplementary Information covers topics like Deferred Maintenance and Repairs and other key financial details. The Independent Auditors' Report from KPMG LLP validates our financial statements. Hyperlinks to the Financial Information sections are provided below.

- [Message from the Senior Official Performing the Duties of the CFO](#)
- [Financial Statements](#)
- [Notes to the Financial Statements](#)
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- [Independent Auditors' Report](#)



About the Section Cover Photo: USCG Cutter Kimball crew members secure an MH-65 Dolphin helicopter following counter-drug flight operations while patrolling the Eastern Pacific Ocean on March 7, 2025.

About the Top Photo on This Page: A TSA K9 training instructor and his dog search cargo during an explosive detection study at Joint Base San Antonio-Lackland, Texas, on June 2, 2025, validating K9 teams' ability to screen varied cargo configurations.

About the Middle Photo on This Page: USSS officers participate in protective operations training at the James J. Rowley Training center in Laurel, Maryland, on April 4, 2023.

About the Bottom Photo on This Page: A Homeland Security Investigations Special Response Team stands post in New Orleans, Louisiana, on February 6, 2025, part of DHS-wide efforts to help state and local law enforcement secure Super Bowl LIX.



MESSAGE FROM THE SENIOR OFFICIAL PERFORMING THE DUTIES OF THE CHIEF FINANCIAL OFFICER



January 22, 2026

I am honored to join Secretary Noem in presenting the Department of Homeland Security (DHS) Fiscal Year (FY) 2025 Agency Financial Report. This report presents the Department's financial and performance results to demonstrate our commitment to the transparency, accountability, and stewardship of taxpayer dollars.

This year, the Department's financial resources have increased significantly due to the *One Big Beautiful Bill Act*, which the President signed into law on July 4, 2025. The Act provides budgetary resources totaling \$191 billion to the Department to strengthen border security, increase immigration enforcement, recapitalize the U.S. Coast Guard fleets, and provide support to state and local entities supporting the Department's mission.

To ensure that financial resources entrusted to the Department are utilized efficiently and effectively, we have continued efforts to enhance and modernize our financial management processes and system of internal control. Specific accomplishments in FY 2025 include:

Cost Savings - In alignment with the President's ongoing cost efficiency efforts, the Department terminated over 350 grants and 500 contracts, with savings of over \$1 billion dollars from grants and \$175 million from contracts. The Department developed mechanisms for the Secretary and designees to review payment justification for all contract invoices and grant drawdown requests prior to release of payments. In addition, the Department is continuing its review of contracts over \$100,000 and identifying opportunities to further reduce costs.

Increased Custodial Revenue - With increased tariffs and a streamlined process for civil fines and penalties, the Department collected substantial amounts of customs duties, taxes, fines, and penalties in FY 2025. Over \$200 billion was collected for transfer to the U.S. Treasury and other federal agencies.

Modernizing and Safeguarding Financial Processes and Systems - Consistent with executive orders requiring modernization of payments and collections, and consolidation of financial systems, the Department has strengthened efforts to phase out the use of paper checks and transition to electronic collections.

The Department continued ongoing efforts to modernize and consolidate core financial systems. The new financial management system servicing the U.S. Coast Guard, Transportation Security Administration, and Countering Weapons of Mass Destruction Office reached full operational capability this year. Additional DHS Components, to include the Federal Emergency Management Agency, U.S. Customs and Border Protection, and U.S. Immigration and Customs Enforcement, continue to make significant progress in documenting system requirements and system development activities. These multi-year efforts are expected to address complex



material weaknesses in internal controls and support the Department in earning an unmodified “clean” audit opinion on DHS’ internal controls over financial reporting.

Financial Stewardship and Accountability - This year, the Department received an unmodified (“clean”) financial statement opinion for the 13th consecutive year.

Looking ahead, we will remain committed to financial integrity, transparency, and accountability in the stewardship of taxpayer dollars. Our focus will remain on innovative improvements and strong internal controls to ensure that the Chief Financial Officer organization continues to provide unwavering support to DHS operations and homeland security missions aimed at safeguarding the American people.

Sincerely,

A handwritten signature in black ink, appearing to read "Holly C. Mehringer", followed by a long horizontal flourish line.

Holly C. Mehringer

Senior Official Performing the Duties of the
Chief Financial Officer



FINANCIAL STATEMENTS

Introduction

The principal financial statements included in this report are prepared pursuant to the requirements of the *Government Management Reform Act of 1994* (P.L. 103-356) and the CFO Act of 1990, as amended by the *Reports Consolidation Act of 2000* (P.L. 106-531), and the *Department of Homeland Security Financial Accountability Act of 2004*. Other requirements include OMB Circular No. A-136, *Financial Reporting Requirements*, as amended. The responsibility for the integrity of the financial information included in these statements rests with the management of DHS. KPMG LLP performed the audit of the Department's principal financial statements, and their Independent Auditors' Report accompanies the principal financial statements.

The Department's principal financial statements consist of the following:

- The Consolidated **Balance Sheet** presents those resources owned or managed by the Department that represent future economic benefits (assets), amounts owed by DHS that will require payments from those resources or future resources (liabilities), and residual amounts retained by DHS comprising the difference (net position) as of September 30, 2025.
- The Consolidated **Statement of Net Cost** presents the net cost of DHS operations for the fiscal year that ended on September 30, 2025. DHS net cost of operations is the gross cost incurred by DHS less any exchange revenue earned from DHS activities and any gains or losses from assumption changes on pensions, other retirement benefits (ORB), and other post-employment benefits (OPEB).
- The Consolidated **Statement of Changes in Net Position** presents the change in the Department's net position due to financing sources and net cost of DHS operations for the fiscal year that ended on September 30, 2025.
- The Combined **Statement of Budgetary Resources** presents how and in what amounts budgetary resources were made available to the Department during fiscal year 2025, the status of these resources at September 30, 2025, the change in the obligated balance, and outlay of budgetary resources for the fiscal year that ended on September 30, 2025.
- The Consolidated **Statement of Custodial Activity** presents the disposition of custodial revenue collected and disbursed by the Department on behalf of other recipient entities for the fiscal year that ended on September 30, 2025.
- The **Notes to the Financial Statements** provide detail and clarification for amounts on the face of the financial statements as of and for the year ended September 30, 2025. To improve readability of this extensive section, an independent table of contents and hyperlinks are provided for easy access to and navigation of the Notes to the Financial Statements.



**Department of Homeland Security
Consolidated Balance Sheet
As of September 30, 2025
(\$ in millions)**

	<u>2025</u>
Assets (Note 2)	
Intragovernmental Assets	
Fund Balance with Treasury (Note 3)	\$ 359,102
Investments, Net (Note 5)	13,064
Accounts Receivable, Net (Note 6)	532
Other Assets (Note 12)	560
Total Intragovernmental Assets	<u>373,258</u>
With the Public	
Cash and Other Monetary Assets (Note 4)	93
Accounts Receivable, Net (Note 6)	2,086
Taxes Receivable, Net (Note 7)	25,230
Loans Receivable, Net	36
Inventory and Related Property, Net (Note 8)	3,435
Property, Plant, and Equipment, Net (Note 10)	33,995
Other Assets (Note 12)	1,838
Total With the Public	<u>66,713</u>
Total Assets	<u><u>\$ 439,971</u></u>
Stewardship Property, Plant, and Equipment (Note 11)	
Liabilities (Note 13)	
Intragovernmental Liabilities	
Accounts Payable	\$ 2,778
Debt (Note 14)	22,533
Other Liabilities (Note 17)	
Liability to the General Fund of the U.S.	
Government for Custodial and Other Non-Entity Assets	25,254
Other Liabilities	1,230
Total Intragovernmental Liabilities	<u>51,795</u>

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Department of Homeland Security
Consolidated Balance Sheet
As of September 30, 2025
(\$ in millions)

	<u>2025</u>
With the Public	
Accounts Payable	\$ 3,719
Federal Employee Salary, Leave, and Benefits Payable (Note 15)	3,665
Pension, Post-Employment, and Veterans Benefits Payable (Note 15)	17,689
Environmental and Disposal Liabilities (Note 16)	761
Insurance and Guarantee Program Liabilities (Note 19)	3,510
Other Liabilities (Notes 17, 18, and 20)	15,974
Total With the Public	<u>45,318</u>
Total Liabilities	<u>\$ 97,113</u>
Commitments and Contingencies (Note 20)	
Net Position	
Unexpended Appropriations	
Funds from Dedicated Collections (FFDC) (Note 21)	\$ 2,954
Funds from Other than Dedicated Collections	<u>327,122</u>
Total Unexpended Appropriations (Consolidated)	<u>330,076</u>
Cumulative Results of Operations	
FFDC (Note 21)	(1,959)
Funds from Other than Dedicated Collections	<u>14,741</u>
Total Cumulative Results of Operations (Consolidated)	<u>12,782</u>
Total Net Position	<u>342,858</u>
Total Liabilities and Net Position	<u>\$ 439,971</u>

The accompanying notes are an integral part of these statements.



**Department of Homeland Security
Consolidated Statement of Net Cost
For the Year Ended September 30, 2025
(\$ in millions)**

	<u>2025</u>
Operational Components	
U.S. Customs and Border Protection	
Gross Cost	\$ 23,340
Less Earned Revenue	(355)
Net Cost	<u>22,985</u>
U.S. Coast Guard	
Gross Cost	15,111
Less Earned Revenue	(329)
Net Cost	<u>14,782</u>
U.S. Citizenship and Immigration Services	
Gross Cost	6,538
Less Earned Revenue	(7,318)
Net Cost	<u>(780)</u>
Cybersecurity and Infrastructure Security Agency	
Gross Cost	2,714
Less Earned Revenue	-
Net Cost	<u>2,714</u>
Federal Emergency Management Agency	
Gross Cost	61,391
Less Earned Revenue	(5,281)
Net Cost	<u>56,110</u>
U.S. Immigration and Customs Enforcement	
Gross Cost	11,748
Less Earned Revenue	(280)
Net Cost	<u>11,468</u>
U.S. Secret Service	
Gross Cost	3,551
Less Earned Revenue	(25)
Net Cost	<u>3,526</u>
Transportation Security Administration	
Gross Cost	12,061
Less Earned Revenue	(4,933)
Net Cost	<u>7,128</u>

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**Department of Homeland Security
Consolidated Statement of Net Cost
For the Year Ended September 30, 2025
(\$ in millions)**

	<u>2025</u>
Departmental Operations and Other Support Components	
Gross Cost	\$ 7,064
Less Earned Revenue	<u>(1,808)</u>
Net Cost	<u>5,256</u>
 Total Department of Homeland Security	
Gross Cost	143,518
Less Earned Revenue	<u>(20,329)</u>
Net Cost Before (Gain)/Loss on Pension, ORB, or OPEB Assumption Changes	123,189
(Gain)/Loss on Pension, ORB, or OPEB Assumption Changes (Note 15)	<u>459</u>
 Net Cost of Operations	 <u>\$ 123,648</u>

The accompanying notes are an integral part of these statements.



Department of Homeland Security
Consolidated Statement of Changes in Net Position
For the Year Ended September 30, 2025
(\$ in millions)

	2025			
	Funds From Dedicated Collections (Note 21)	All Other Funds	Elimination Between FFDC and All Other Funds	Total
Unexpended Appropriations				
Beginning Balance	\$ 2,282	\$ 132,878	\$ -	\$ 135,160
Appropriations Received	700	307,846	-	308,546
Appropriations Transferred In/(Out)	(2)	34	-	32
Other Adjustments	-	(1,160)	-	(1,160)
Appropriations Used	(26)	(112,476)	-	(112,502)
Net Change in Unexpended Appropriations	672	194,244	-	194,916
Total Unexpended Appropriations	\$ 2,954	\$ 327,122	\$ -	\$ 330,076
Cumulative Results of Operations				
Beginning Balance	(2,602)	16,179	-	13,577
Other Adjustments	-	(32)	-	(32)
Appropriations Used	26	112,476	-	112,502
Non-Exchange Revenue (Note 30)	3,394	1	-	3,395
Donations and Forfeitures of Cash and Cash Equivalents	6	-	-	6
Transfers In/(Out) without Reimbursement	(4,563)	4,363	-	(200)
Donations and Forfeitures of Property	43	3	-	46
Imputed Financing	646	3,911	-	4,557
Other	4,406	(1,827)	-	2,579
Net Cost of Operations	(3,315)	(120,333)	-	(123,648)
Net Change in Cumulative Results of Operations	643	(1,438)	-	(795)
Total Cumulative Results of Operations	\$ (1,959)	\$ 14,741	\$ -	\$ 12,782
Net Position	\$ 995	\$ 341,863	\$ -	\$ 342,858

The accompanying notes are an integral part of these statements.



Department of Homeland Security
Combined Statement of Budgetary Resources
For the Year Ended September 30, 2025
(\$ in millions)

	2025	
	Budgetary	Non-Budgetary Credit Reform Financing Accounts
Budgetary Resources		
Unobligated Balance from Prior Year Budget Authority, Net (Discretionary and Mandatory) (Note 26)	\$ 48,700	\$ 1
Appropriations (Discretionary and Mandatory)	332,715	-
Borrowing Authority (Discretionary and Mandatory) (Note 22)	2,500	2
Spending Authority from Offsetting Collections (Discretionary and Mandatory)	14,369	21
Total Budgetary Resources	\$ 398,284	\$ 24
Status of Budgetary Resources		
New Obligations and Upward Adjustments (Total)	\$ 171,463	\$ 20
Unobligated Balance, End of Year		
Apportioned, Unexpired Accounts	221,913	4
Exempt from Apportionment, Unexpired Accounts	12	-
Unapportioned, Unexpired Accounts	1,736	-
Unexpired Unobligated Balance, End of Year	223,661	4
Expired Unobligated Balance, End of Year	3,160	-
Unobligated Balance, End of Year (Total)	226,821	4
Total Budgetary Resources	\$ 398,284	\$ 24
Outlays, Net and Disbursements, Net		
Outlays, Net (total) (Discretionary and Mandatory)	\$ 140,602	\$ -
Distributed Offsetting Receipts (-)	(17,798)	-
Agency Outlays, Net (Discretionary and Mandatory)	\$ 122,804	\$ -
Disbursements, Net (Total) (Mandatory)		\$ (2)

The accompanying notes are an integral part of these statements.



Department of Homeland Security
Consolidated Statement of Custodial Activity
For the Year Ended September 30, 2025
(\$ in millions)

	<u>2025</u>
Revenue Activity (Note 27)	
Sources of Cash Collections:	
Duties	\$ 201,007
Excise Taxes	5,213
User Fees	2,134
Fines and Penalties	169
Interest	139
Miscellaneous	381
Total Cash Collections	<u>209,043</u>
Accrual Adjustments, Net	<u>17,044</u>
Total Custodial Revenue	<u>226,087</u>
Disposition of Collections	
Transferred to Federal Entities:	
Treasury General Fund Accounts	\$ 136,317
U.S. Department of Agriculture	60,652
U.S. Army Corps of Engineers	1,869
Other Federal Agencies	269
Transferred to Non-Federal Entities	162
(Increase)/Decrease in Amounts Yet to be Transferred	17,485
Increase/(Decrease) in Refunds Payable and Other Custodial Liabilities (Note 27)	9,333
Total Disposition of Collections	<u>226,087</u>
Custodial Revenue Less Disposition of Collections	<u><u>\$ -</u></u>

The accompanying notes are an integral part of these statements.



NOTES TO THE FINANCIAL STATEMENTS

Table of Contents

This table of contents is provided to improve readability and navigation of the Notes to the Financial Statements section. Hyperlinks to aid in navigation are also provided at the bottom of each page and are represented by icons for ease of use: the house icon directs users to the "Main Table of Contents," the map marker icon returns to the "Top of the Financial Statements," and the book icon navigates to this "Table of Contents for the Notes to the Financial Statements."

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1. Summary of Significant Accounting Policies

A. Reporting Entity

The Department was established by the *Homeland Security Act of 2002* (P.L. 107-296), dated November 25, 2002, as an executive department of the U.S. Federal Government. The Department leads efforts to achieve a safe, secure, and resilient homeland by countering terrorism and enhancing our security; securing and managing our borders; enforcing and administering our immigration laws; protecting our cyberspace and critical infrastructure; and ensuring resilience to disasters. In addition, the Department contributes in many ways to elements of broader United States national and economic security while also working to mature and strengthen the Department and the homeland security enterprise. The Department includes the following financial reporting Components:¹

- U.S. Customs and Border Protection (CBP)
- U.S. Coast Guard (USCG)
- U.S. Citizenship and Immigration Services (USCIS)
- Cybersecurity and Infrastructure Security Agency (CISA)
- Federal Emergency Management Agency (FEMA)
- U.S. Immigration and Customs Enforcement (ICE)
- U.S. Secret Service (USSS)
- Transportation Security Administration (TSA)
- Departmental Operations and Other Support Components, including the Management Directorate (MGMT), the Office of the Secretary, the Office of Inspector General (OIG), Countering Weapons of Mass Destruction Office (CWMD), the Office of Intelligence and Analysis (I&A), the Office of Homeland Security Situational Awareness (OSA), Science and Technology Directorate (S&T), and the Federal Law Enforcement Training Centers (FLETC).

B. Basis of Presentation

These financial statements are prepared to report the consolidated financial position, net cost of operations, changes in net position, custodial activity, and combined budgetary resources of the Department pursuant to the *Government Management Reform Act of 1994* and the CFO Act of 1990, as amended by the *Reports Consolidation Act of 2000* and the *DHS Financial Accountability Act of 2004*.

The Department's financial statements have been prepared from the accounting records of the Department based on U.S. GAAP and OMB Circular No. A-136, *Financial Reporting Requirements*, as amended. GAAP for federal entities are the standards prescribed by the Federal Accounting Standards Advisory Board, the official accounting standards-setting body of the Federal Government. All financial statements and notes are presented in a single year format as prescribed by the latest revision to OMB Circular No. A-136 dated July 14, 2025.

The Department's financial statements reflect the reporting of departmental activities, including appropriations received to conduct operations and revenue generated from operations. The financial statements also reflect the reporting of certain non-entity (custodial) functions performed by the Department on behalf of the Federal Government. Accounting standards require all reporting entities to disclose that accounting standards allow certain presentations and disclosures to be modified, if needed, to prevent the disclosure of classified information.

¹ Financial reporting Components are to be distinguished from direct report Components described in the MD&A.



Intragovernmental assets and liabilities are derived from activity with other federal entities. All other assets and liabilities result from activities with parties outside the Federal Government, such as domestic and foreign persons, organizations, or governments. Intragovernmental earned revenue includes collections or revenue accruals from other federal entities, and intragovernmental costs are payments or expense accruals to other federal entities. The Department collects various types of non-federal revenue through fees, fines, and other charges for services provided. These revenues are typically used to offset operational costs or fund specific programs.

Transactions and balances among the Department's Components have been eliminated in the consolidated presentation of the Balance Sheet, Statement of Net Cost, Statement of Changes in Net Position, and Statement of Custodial Activity. Intradepartmental activity reported in an FFDC is often offset with activity in other funds. The Department presents information for FFDC and all other funds on the Balance Sheet and the Statement of Changes in Net Position on a consolidated basis. For presentation of Statement of Changes in Net Position, transactions and balances between FFDC are eliminated in the consolidated FFDC column. Similarly, the transactions and balances between all other funds are eliminated in the consolidated All Other Funds column. Transactions between FFDC and all other funds are shown in the Eliminations column. The Statement of Budgetary Resources is reported on a combined basis; therefore, intradepartmental balances have not been eliminated.

OMB Circular No. A-11, *Preparation Submission, and Execution of the Budget*, restricts agencies from recording an obligation against the budgetary resources for year-end accruals that are made for financial statement purposes, unless there is an underlying legally binding obligation, as defined in 31 U.S.C. §1501. As a result, Hermit's Peak/Calf Canyon Fire Assistance Claims liability accrual is made without recording budgetary obligations.

While these financial statements have been prepared from the books and records of the Department in accordance with the formats prescribed by OMB, these financial statements are in addition to the financial reports used to monitor and control budgetary resources, which are prepared from the same books and records.

These financial statements should be read with the realization that they are for a component of the Federal Government, a sovereign entity, whose liabilities not covered by budgetary resources cannot be liquidated without the enactment of an appropriation, and that the payment of all liabilities other than for contracts, can be terminated by the Federal Government acting in its capacity as a sovereign entity.

C. Basis of Accounting

Transactions are recorded on an accrual and budgetary basis of accounting. Under the accrual basis, revenue is recognized when earned, and expenses are recognized when a liability is incurred, regardless of when cash is exchanged. Budgetary accounting facilitates compliance with legal constraints and the controls over the use of federal funds. The balances and activity of budgetary accounts are used to prepare the Statement of Budgetary Resources. The Statement of Custodial Activity is reported using the modified cash basis. With this basis, revenue from cash collections is reported separately from receivable accruals, and cash disbursements are reported separately from payable accruals.

D. Use of Estimates

Preparation of the consolidated financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and



liabilities, disclosure of contingent assets and liabilities at the date of consolidated financial statements, and the reported amounts of revenue, claims, and expenses during the reporting period. Actual results could differ from those estimates. Significant estimates include: the year-end accruals of accounts and grants payable; environmental liabilities; deferred revenue; NFIP insurance liability; actuarial liabilities related to workers' compensation; allowance for doubtful accounts; taxes, duties, and trade receivables, including supplemental duty bills, and fines, penalties, and forfeitures; actuarial liabilities related to pension, retirement, and post-retirement benefits; and other liabilities resulting from new programs.

E. Entity and Non-Entity Assets

Entity assets are assets the Department has the authority to use in its operations. The authority to use funds in an entity's operations means either Department management has the authority to decide how funds are used, or management is legally obligated to use funds to meet entity obligations (e.g., salaries and benefits).

Non-entity assets are assets held by the Department but not available for use by the Department. An example of a non-entity asset is the portion of Fund Balance with Treasury that consists of certain special and deposit funds, permanent and indefinite appropriations, and miscellaneous receipts. Non-entity assets are offset by corresponding liabilities.

For additional information, see [Note 1, Y](#), Revenue and Financing Sources, and [Note 2](#), Non-Entity Assets.

F. Fund Balance with Treasury

Fund Balance with Treasury represents the aggregate amount of the Department's accounts with the Department of the Treasury (Treasury) available to pay current liabilities and finance authorized purchases, except as restricted by law. The Department's Fund Balance with Treasury balances are primarily appropriated, revolving, trust, deposit, receipt, and special fund amounts remaining as of the end of the fiscal year.

For additional information regarding the Budgetary Status, see [Note 3](#), Fund Balance with Treasury.

G. Cash and Other Monetary Assets

The Department's cash and other monetary assets primarily consist of undeposited collections, imprest funds, cash used in undercover operations, cash held as evidence, cash held by insurance companies, and seized cash and monetary instruments. The Department maintains cash in commercial bank accounts.

Insurance companies receive and process certain receipts and disbursements on behalf of FEMA. Insurance companies hold cash from flood insurance premiums to be remitted to Treasury, as well as insurance claim payments to be distributed to the insured.

For additional information, see [Note 4](#), Cash and Other Monetary Assets.

H. Investments, Net

Investments consist of Federal Government nonmarketable market-based Treasury securities and are reported at cost or amortized cost, net of premiums or discounts. Premiums or discounts are amortized into interest income over the terms of the investment using the effective interest method.



No provision is made for unrealized gains or losses on these securities because it is the Department's intent to hold these investments to maturity.

For additional information, see [Note 5](#), Investments, Net.

I. Receivables, Net

Accounts receivable represent amounts due to the Department from other federal agencies and the public. In general, intragovernmental accounts receivable arise from the provision of goods and services to other federal agencies.

Accounts receivable due from the public typically result from various immigration and user fees, premiums and policy fees from insurance companies and policyholders, breached bonds, reimbursable services, oil spill cost recoveries, security fees, grant programs, contracts, and related accrued interest. Receivables are presented net of an allowance for doubtful accounts, which is based on analyses of debtors' ability to pay, specific identification of probable losses, aging analysis of past-due receivables, or historical collection experience.

Taxes, duties, and trade receivables include supplemental duty bills, user fees, fines and penalties, refunds and drawback overpayments, and interest associated with import/export activity, which have been established as specifically identifiable, legally enforceable claims which remain uncollected as of year-end. This balance excludes amounts referred to Treasury because they are considered 100% uncollectible, as all collection efforts have been exhausted on these receivables prior to referral. Duties and taxes receivables are non-entity assets for which there is an offsetting liability due to the general fund (see [Note 17](#), Other Liabilities).

Bonds are required for various taxes, duties, and trade receivables and serve as CBP's primary tool to protect U.S. revenue and ensure compliance with applicable laws and regulations. For imported merchandise, an importer must generally have an active and sufficient bond—either a continuous or single transaction bond—on file with CBP before cargo is released. The continuous bond must be at least 10% of the estimated duties, taxes, and fees for the previous 12 months of imported merchandise. The single transaction bond is typically equal to the total entered value plus all applicable estimated duties, taxes, and fees. CBP assesses the adequacy of an importers' bond coverage monthly, to determine if additional coverage is necessary to protect revenue and ensure compliance with law and regulation. CBP completes an annual analysis of current unpaid duties exceeding bond coverage as well as aged duties past payment due date and records an allowance for amounts deemed uncollectible. Bonds are not utilized for payment until an importer defaults and a demand is made on the surety. See [Note 7](#), Taxes Receivable, Net for additional information.

An allowance for uncollectible amounts is established for substantially all accrued fines and penalties and related interest. The amount is based on a statistical sample to assess historical collectability of these receivables. Statutes and regulations allow importers to dispute the assessment of duties, taxes, and fees. Receivables related to disputed assessments are not recorded until the protest period expires or a protest decision is rendered in CBP's favor.

For additional information, see [Note 6](#), Accounts Receivable, Net; [Note 7](#), Taxes Receivable, Net; and [Note 21](#), Funds from Dedicated Collections.

J. Advances and Prepayments

Advances and prepayments are presented as a component of other assets in the accompanying Balance Sheet.



Intragovernmental advances are primarily for support of border security, as well as disaster recovery and assistance to other federal agencies.

Advances and prepayments to the public consist primarily of disaster recovery and assistance grants to states, allowances and commission expenses to insurance companies, and other grant activity.

Allowances and commission expenses are amortized over the lives of the insurance policies. Disaster recovery and assistance grant advances are expensed as they are used by the recipients, and are limited to the amount of the grant obligations.

For additional information, see [Note 12](#), Other Assets.

K. Loans Receivable, Net

Direct loans are loans issued by the Department to local governments. FEMA, the only DHS Component with loan activity, operates the Community Disaster Loan Program to support local governments that have suffered a substantial loss of tax and other revenue as a result of a major disaster and demonstrate a need for federal financial assistance in order to perform their municipal operating functions. Under the program, FEMA transacts direct loans to local governments that meet statutorily set eligibility criteria. Loans are accounted for as receivables as funds are disbursed.

All of the Department's loans are post-1991 obligated direct loans, and the resulting receivables are governed by the *Federal Credit Reform Act of 1990* (P.L. 101-508).

Under this Act, for direct loans disbursed during a fiscal year, the corresponding receivable is adjusted for subsidy costs. Subsidy costs are estimated long-term costs to the Federal Government for its loan programs. The subsidy cost is equal to the present value of the estimated cash outflows over the life of the loans minus the present value of the estimated cash inflows, discounted at the applicable Treasury interest rate. Administrative costs such as salaries and contractual fees are not included. Subsidy costs can arise from interest rate differentials, interest subsidies, delinquencies and defaults, and other cash flows. The Department calculates the subsidy costs based on a subsidy calculator model created by OMB.

Loans receivable are recorded at the present value of the estimated net cash flows. The difference between the outstanding principal of the loans and the present value of their net cash inflows is recorded in the allowance for subsidy, which is estimated and adjusted annually, as of year-end. Loans receivable, net, or the value of assets related to direct loans, is not the same as the expected proceeds from selling the loans. Interest receivable is the total interest that has accrued on each of the outstanding loans, less any cancellations that may have been recorded due to the FEMA cancellation policy as described in 44 Code of Federal Regulations (CFR) Section 206.366.

L. Inventory and Related Property, Net

Operating Materials and Supplies (OM&S) held for use and repair represent the largest portion of DHS inventory and related property. OM&S consist primarily of goods, including reparable spare parts, consumed during the maintenance of assets used to perform DHS missions, including vessels, small boats, electronic systems, and aircraft. OM&S managed by the USCG inventory control points consist of special purpose craft; electronic equipment; chemical, biological, radiological, and nuclear explosive equipment; and ordnance items that are valued at historical cost using a moving average cost and accounted for using the consumption method. OM&S reparable items that are in a "held for repair" status are recorded at historical cost with an allowance for the cost of the repair.



OM&S held at CBP sites consist of aircraft parts, vessel parts, and border security parts to be used in CBP's operations. Manned aircraft and border security parts and materials are recorded at average unit cost. Unmanned aircraft parts and vessel parts are recorded using the first-in/first-out valuation method. Both methods approximate actual acquisition costs. OM&S reparable items that are in a "held for repair" status are recorded using the direct method for the cost of repairs.

Inventory is tangible personal property held for sale or used in the process of production for sale. Inventory includes items such as fuel and subsistence. Inventories on hand at year-end are stated at cost using standard price/specific identification, first-in/first-out, or moving average cost methods, which approximates historical cost. Revenue on inventory sales and associated cost of goods sold are recorded when merchandise is sold to the end user.

Critical materials are stockpiled and held due to statutory requirements for use in national emergencies. The Department's stockpile materials held by FEMA include goods that would be used to respond to national disasters (e.g., water, meals, cots, blankets, tarps, and blue roof sheeting). Stockpile materials at year-end are stated at historical cost using the weighted average method.

For additional information, see [Note 8](#), Inventory and Related Property, Net.

M. Seized and Forfeited Property

Seized property is categorized as either nonprohibited or prohibited. The composition of seized property will vary from year to year and is dependent upon the nature and status of investigative activities.

Nonprohibited seized property includes items that are not inherently illegal to possess or own, such as monetary instruments, including central bank digital currencies, real property, intangible and tangible personal property of others. Intangible personal property can include digital assets, for example Bitcoin and various other cryptocurrencies which are considered non-monetary instruments. Nonprohibited seized and forfeited property is reported by the Treasury Forfeiture Fund.

Prohibited seized property includes illegal drugs, contraband, and counterfeit items that cannot legally enter into the commerce of the United States. Prohibited seized property results primarily from criminal investigations and passenger/cargo processing. Prohibited seized property is not considered an asset of the Department and is not reported as such in the Department's financial statements. However, the Department has a stewardship responsibility until the disposition of the seized items is determined (i.e., judicially or administratively forfeited or returned to the entity from which it was seized).

Forfeited property is seized property for which the title has passed to the Federal Government. Prohibited forfeited items such as counterfeit goods, narcotics, or firearms are held by the Department until disposed of or destroyed.

DHS collaborates with various federal, state, and local law enforcement partners in connection with drug seizure operations. Disclosure responsibility rests with the primary agency that leads or formally executes the seizure. If DHS is acting in a supporting or assistive role, those seizure activities are not subject to disclosure in this AFR, as the responsibility for reporting rests with the lead agency of record.

For additional information, see [Note 9](#), Seized and Forfeited Property.



N. Property, Plant, and Equipment, Net

The Department's PP&E consists of aircraft, vessels, vehicles, land, structures, facilities, right-to-use (RTU) lease assets, leasehold improvements, software, IT, and other equipment, including small boats, security equipment, industrial equipment, and communications gear. PP&E is generally recorded at historical cost. The Department capitalizes PP&E acquisitions when the cost equals or exceeds an established threshold and has a useful life of two years or more. Land is not depreciated.

Costs for construction projects are recorded as construction-in-progress until the asset is placed in service. Costs are valued at actual (direct) costs plus applied overhead and other indirect costs. At year end, a portion of the construction-in-progress balance may be estimated to accrue amounts for work completed but not yet recorded.

The Department owns some of the buildings in which Components operate. The majority of other buildings are provided by the General Services Administration (GSA), which charges rent equivalent to the commercial rental rates for similar properties.

Internal use software includes purchased commercial off-the-shelf software, contractor-developed software, and internally developed software. For commercial off-the-shelf software, the capitalized costs are equal to the amount paid to the vendor for the software. For contractor-developed software, the capitalized costs include the amount paid to a contractor to design, program, install, and implement the software. For internally developed software, capitalized costs include the full costs (direct and indirect) incurred during the software development phase. Costs incurred during the preliminary design and post-implementation/operational phases are expensed in the period incurred.

DHS's PP&E capitalization threshold and useful life are displayed in the schedule below. DHS policy allows the use of legacy capitalization thresholds and Component-specific policies for assets acquired prior to October 1, 2020.

Actual capitalization thresholds and service lives used by DHS Components may vary as long as the threshold does not exceed the DHS capitalization threshold. Bulk purchases are subject to a \$2 million capitalization threshold. Capital improvements extending the service life of assets are not included in these ranges.

Asset Description	Capitalization Threshold	Useful Life
Land and Land Rights	Zero	Not Applicable
Improvements to Land	\$500,000	2 years to 50 years
Buildings, Other Structures and Facilities	\$500,000	10 years to 50 years
Equipment	\$500,000	5 years to 30 years
Leasehold Improvements	\$500,000	2 years to 50 years
Internal Use Software	\$750,000	2 years to 13 years
Lessee Right-to-Use Leases Assets	\$250,000	More than 2 years

The Department begins to recognize depreciation expense once the asset has been placed in service. Depreciation is calculated on a straight-line method for all asset classes over their estimated useful lives. Leasehold improvements are depreciated over the shorter of the term of the remaining portion of the lease or the useful life of the improvement. Amortization of capitalized software is calculated using the straight-line method and begins on the date of acquisition if purchased, or when the module or component has been placed in service (i.e., successfully installed



and tested) if contractor or internally developed. There are no restrictions on the use or convertibility of PP&E.

In accordance with SFFAS No. 54, *Leases*, DHS reports RTU lease assets and lease liabilities for non-intragovernmental, non-short-term contracts or agreements, when DHS has the right to obtain and control access to economic benefits or services from underlying property, plant, or equipment assets for a period of over 24 months in exchange for consideration under the terms of the contract or agreement. DHS established a capitalization threshold of \$250,000 for RTU leases. Buildings and equipment acquired under RTU leases are amortized over the shorter of the lease term or the underlying useful life. Short-term lease (lease term of 24 months or less) and intragovernmental lease costs are expensed as incurred. Pursuant to SFFAS No. 62, *Transitional Amendment to SFFAS 54*, lease contracts containing both lease and non-lease components may be treated as non-lease and expensed. These contracts, often referred to as embedded leases, must be primarily non-lease in nature. DHS has elected the maximum accommodation under the standard and will begin accounting for embedded leases beginning in FY 2027.

A description of DHS's land is located in the Required Supplementary Information in accordance with SFFAS No. 59, *Accounting and Reporting of Government Land*.

For additional information, see [Note 10](#), Property, Plant, and Equipment, Net, and [Note 18](#), Leases.

O. Stewardship Property, Plant, and Equipment

Stewardship PP&E includes heritage assets that generally are not included in PP&E presented on the Balance Sheet. Heritage assets are unique due to their historical or natural significance; cultural, educational, or artistic importance; or significant architectural characteristics. In general, heritage assets are expected to be preserved indefinitely.

These heritage assets consist of documents, historical artifacts, immigration and naturalization files, artwork, buildings, and structures. The cost of improving, reconstructing, or renovating heritage assets is recognized as an expense in the period incurred. Similarly, the cost to acquire or construct a heritage asset is recognized as an expense in the period incurred.

Heritage assets can serve two purposes: a heritage function and a general government operational function. If a heritage asset serves both purposes, but is predominantly used for general government operations, the heritage asset is considered a multi-use heritage asset, which is depreciated and included in PP&E on the Balance Sheet. Due to their nature, heritage assets not used for general government operational functions are not depreciated because matching costs with specific periods would not be meaningful. The Department depreciates its multi-use heritage assets over their useful life. The Department's multi-use heritage assets consist of buildings and structures, memorials, and recreation areas.

For additional information, see [Note 11](#), Stewardship Property, Plant, and Equipment.

P. Liabilities

Liabilities represent the probable and measurable future outflow or other use of resources as a result of past transactions or events. Liabilities covered by budgetary resources are those liabilities for which Congress has appropriated funds or for which funding is otherwise available to pay amounts due. Liabilities not covered by budgetary or other resources represent amounts owed in excess of available congressionally appropriated funds or other amounts, where there is no certainty that the appropriations will be enacted. Liabilities not requiring



budgetary resources are liabilities that have not in the past required and will not in the future require the use of budgetary resources. The Federal Government, acting in its sovereign capacity, can annul liabilities of the Department arising from any transaction or event other than contracts or other instances where its sovereign immunity has been waived (e.g., refund statutes).

Q. Contingent Liabilities

The Department accrues contingent liabilities where a loss is determined to be probable and the amount can be reasonably estimated. Environmental liabilities related to litigation are included in Contingent Liabilities. The Department discloses contingent liabilities where the conditions for liability recognition have not been met and the likelihood of unfavorable outcome is more than remote. Contingent liabilities considered remote are generally not disclosed unless they involve guarantees, in which case the nature of the guarantee is disclosed.

For additional information, see [Note 20](#), Commitments and Contingent Liabilities.

R. Environmental Cleanup Costs

Environmental liabilities consist of environmental remediation, cleanup, and decommissioning. The Department is responsible for remediating its sites with environmental contamination and is party to various administrative proceedings, legal actions, and tort claims that may result in settlements or decisions adverse to the Federal Government. The liability for environmental remediation is an estimate of costs necessary to bring a known contaminated asset into compliance with applicable environmental standards. Accruals for environmental cleanup costs are the costs of removing, containing, and/or disposing of hazardous wastes or materials that, because of quantity, concentration, or physical or chemical characteristics, may pose a substantial present or potential hazard to human health or the environment.

For all PP&E in service after September 30, 1997, the Department recognizes the estimated total cleanup costs associated with the PP&E when the cleanup costs are probable and reasonably estimable. The estimate may be subsequently adjusted for material changes due to inflation/deflation or changes in regulations, cleanup plans, or technology. The applicable costs of decommissioning the Department's existing and future vessels are considered cleanup costs.

For additional information, see [Note 16](#), Environmental and Disposal Liabilities.

S. Liabilities for Grants and Cooperative Agreements

The Department awards grants and cooperative agreements to state, local, and tribal governments, universities, and nonprofit organizations to build their capacity to respond to disasters and emergencies; conduct research into preparedness; enhance and ensure the security of passenger and cargo transportation by air, land, or sea; and support other Department-related activities. The Department estimates the year-end grant and cooperative agreement accrual for unreported and unpaid recipient expenditures using historical disbursement data in compliance with Federal Financial Accounting Technical Release 12, *Accrual Estimates for Grant Programs*. Grants and cooperative agreement liabilities are recorded as grants payable to the public and reported as Other Liabilities with the Public in the accompanying Balance Sheet.

As grantee expenditure in a given year may vary greatly depending on occurrence of disasters and the expiration dates of awards for the numerous non-disaster grant programs, the estimate may significantly vary year-over-year.



T. Insurance Liabilities

Insurance liabilities are primarily the result of the Department's sale or continuation-in-force of flood insurance policies within the NFIP, which is managed by FEMA. NFIP is an exchange transaction insurance, and DHS discloses Insurance Liabilities in accordance with SFFAS No. 51, *Insurance Programs*.

The NFIP insurance liability represents an estimate based on the loss and loss adjustment expense factors inherent to the NFIP Insurance Underwriting Operations, including trends in claim severity and frequency. These estimates are routinely reviewed, and adjustments are made as deemed necessary. The estimate is driven primarily by flooding activity in the U.S. and can significantly vary year over year depending on timing and severity of flooding activity.

The *Biggert-Waters Flood Insurance Reform Act of 2012* (P.L. 112-141) and the *Homeowner Flood Insurance Affordability Act of 2014* (HFIAA) (P.L. 113-89) amended the *National Flood Insurance Act of 1968* (P.L. 90-448) to establish a National Flood Insurance Reserve Fund to meet the expected future obligations of the NFIP. The acts authorized FEMA to secure reinsurance coverage from private reinsurance and capital markets to maintain the financial ability of the program to pay claims from major flooding events. The reinsurance agreement places the NFIP in a better position to manage losses incurred that result from major flooding events.

For additional NFIP information, see [Note 14](#), Debt; [Note 17](#), Other Liabilities; [Note 19](#), Insurance Liabilities; [Note 21](#), Funds from Dedicated Collections; and [Note 22](#), Available Borrowing Authority.

U. Debt and Borrowing Authority

Debt is reported within Intragovernmental Liabilities and results from Treasury loans and related interest payable to fund FEMA's NFIP and DADLP operations. Most of this debt is not covered by current budgetary resources. Premiums collected by FEMA for the NFIP are not sufficient to cover the debt repayments (see above Note 1.T., Insurance Liabilities).

Borrowing authority, to the extent of existing obligations, is in budgetary status for use by FEMA for insurance claims and community disaster loans (CDLs). Borrowing authority is converted to cash and transferred to the Fund Balance with Treasury when needed for these purposes. Insurance claims and CDLs have indefinite borrowing authority. Indefinite borrowing authority represents the balance of borrowing authority which is the amount equal to those unpaid obligations covered by borrowing authority at the close of the fiscal year.

For more information, see [Note 14](#), Debt, and [Note 22](#), Available Borrowing Authority.

V. Accrued Payroll and Benefits

Accrued Payroll. Accrued payroll consists of salaries, wages, and other compensation earned by employees but not disbursed as of September 30. The liability is estimated for reporting purposes based on historical pay information.

Leave Program. Earned annual and other vested compensatory leave is accrued as it is earned and reported on the Balance Sheet. The liability is reduced as leave is taken. Each year, the balances in the accrued leave accounts are adjusted to reflect the liability at current pay rates and leave balances. Sick leave and other types of nonvested leave are not earned benefits. Accordingly, nonvested leave is expensed when used.



Federal Employees' Compensation Act. *The Federal Employees' Compensation Act of 1916 (FECA) (P.L. 64-267) provides income and medical cost protection to covered federal civilian employees injured on the job, to employees who have incurred work-related occupational diseases, and to beneficiaries of employees whose deaths are attributable to job-related injuries or occupational diseases. The FECA program is administered by the Department of Labor (DOL), which pays valid claims and subsequently seeks reimbursement from the Department for these paid claims.*

The FECA liability consists of two elements. The first element, accrued FECA liability, is based on claims paid by DOL but not yet reimbursed by the Department. The Department reimburses DOL for claims as funds are appropriated for this purpose. In general, there is a two-year period between payment by DOL and reimbursement to DOL by the Department.

As a result, the Department recognizes an intragovernmental liability for the claims paid by DOL and to be reimbursed by the Department.

The second element, actuarial FECA liability, is the estimated liability for future benefit payments and is recorded as a component of pension, post-employment, and veterans benefits payable. The actuarial FECA liability includes the expected liability for death, disability, medical, and miscellaneous costs for approved compensation cases. DOL determines the actuarial FECA liability annually, as of September 30, using an actuarial method that considers historical benefit payment patterns, wage inflation factors, medical inflation factors, and other variables. The projected annual benefit payments are discounted to present value using the OMB economic assumptions for ten-year Treasury notes and bonds. The actuarial FECA liability is not covered by budgetary resources and will require future funding.

For additional information regarding accrued FECA liability, payroll, and leave, see [Note 13](#), Liabilities Not Covered by Budgetary Resources, and [Note 17](#), Other Liabilities. For more information on the actuarial FECA liability, see [Note 13](#), Liabilities Not Covered by Budgetary Resources, and [Note 15](#), Federal Employee and Veterans Benefits Payable.

W. Federal Employee and Veterans Benefits

The Department's federal employee and veterans benefits consist of retirement plans, including the USSS's Uniformed Division and Special Agent Pension, ORB, including the USCG Military Health System (MHS), and OPEB. The Department recognizes the full annual cost of its employees' pension benefits. The assets of the plan and liability associated with civilian pension costs are recognized by the U.S. Office of Personnel Management (OPM) rather than the Department. The assets of the plan and liability associated with USCG military pension costs are recognized by the DoD Military Retirement Fund rather than the Department. Accordingly, the Department does not display gains and losses from changes in long-term assumptions used to measure pension liabilities on the Statement of Net Cost.

Civilian Pension Benefits. Most DHS employees are covered by the Federal Employees Retirement System (FERS) which consists of a basic annuity plan, the Thrift Savings Plan, and Social Security. Most employees hired before December 31, 2012 are covered by the FERS basic annuity benefit. For the FERS basic annuity benefit, the Department contributes 18.4% of base pay for regular FERS employees and 38.2% for law enforcement agents. Employees hired between January 1, 2013 and December 31, 2013 are covered by the FERS revised annuity benefit; employees hired after December 31, 2013 are covered by the FERS further revised annuity benefit. For the FERS revised annuity benefit and the FERS further revised annuity benefit, the Department contributes 16.5% of base pay for regular



FERS employees and 36.4% for law enforcement agents. In addition, the Department automatically contributes to the Thrift Savings Plan a minimum of 1% of base pay and matches employee contributions up to an additional 4% of base pay. The Department also contributes the employer's Social Security matching share for FERS participants.

Military Pension Benefits. For the Military Retirement System (MRS), USCG contributes 26.6% of base pay for full-time (active duty) and 21.5% for part-time (reservist) military service members for FY 2025. These normal cost percentage rates are determined and published by the DoD Board of Actuaries annually.

Other Retirement Benefits and Other Post-Employment Benefits. Similar to FERS, OPM reports the liability for future payments to retired employees who participate in the Federal Employees Health Benefits Program and Federal Employees Group Life Insurance Program. The Department reports both the full annual cost of providing these ORB for its retired employees and reporting contributions made for active employees. In addition, the Department recognizes the cost for OPEB, including all types of benefits provided to former or inactive (but not retired) employees, their beneficiaries, and covered dependents. The difference between the full annual cost of FERS, ORB, and OPEB and the amount paid by the Department is recorded as an imputed cost and offsetting imputed financing source in the accompanying financial statements.

The Department applies SFFAS No. 33, *Pensions, Other Retirement Benefits, and Other Postemployment Benefits: Reporting the Gains and Losses from Changes in Assumptions and Selecting Discount Rates and Valuation Dates*, in selecting the discount rate and valuation date used in estimating actuarial liabilities for the MHS and the Uniformed Division and Special Agent Pension. Gains and losses from changes in long-term assumptions used to measure these liabilities are reported as a separate line item on the Statement of Net Cost.

Military Health System. There are two categories of military healthcare benefits. The first category of military healthcare liability is for the Medicare-eligible USCG military retirees and beneficiaries. DoD is the administrative entity for the Medicare-Eligible Retiree Health Care Fund (MERHCF) and, in accordance with SFFAS No. 5, *Accounting for Liabilities of the Federal Government*, is required to recognize the liability on the MERHCF's financial statements. USCG makes annual payments to fund benefits for the current active-duty members and their spouses who will receive benefits when they reach Medicare-eligibility. USCG receives per-member amounts (reserve and active-duty member amounts separately) to be contributed to the MERHCF from the DoD Board of Actuaries office and pays its share, depending on its demography. Because DoD reports the entire liability for MERHCF, USCG is only responsible for the annual per-member amounts.

The second category of military healthcare liability is for retirees and beneficiaries not yet eligible for Medicare. The MHS is a post-retirement medical benefit plan that covers all active component and reserve component members of USCG. USCG is the administrative entity for MHS, and in accordance with SFFAS No. 5, recognizes the liability which is reported in DHS financial statements. The actuarial accrued liability for MHS is the portion of the present value of the future benefits expected to be paid that is attributed to past service (service by participants rendered prior to the date of determination). Benefits are funded on a pay-as-you-go basis through annual appropriations.

Uniformed Division and Special Agent Pension. The Washington, D.C., Police Officers' and Firefighters' Retirement Plan (the D.C. Pension Plan) is a defined benefit plan that covers USSS Uniformed Division and Special Agents hired as civilians prior to January 1, 1984, and eligible for transfer to the D.C. Pension



Plan. Uniformed Division and Special Agents hired after that date are covered as law enforcement agents by FERS basic annuity benefit, FERS revised annuity benefit, or FERS further revised annuity benefit, as appropriate. The D.C. Pension Plan has no active participants; it makes benefit payments to retirees or their beneficiaries. USSS receives permanent, indefinite appropriations each year to pay the excess of benefit payments over salary deductions. USSS calculates pension liability using a discount rate assumption for present value of future benefits in accordance with SFFAS No. 5 and SFFAS No. 33. The unfunded accrued liability is actuarially determined by subtracting the present value of future employer/employee contributions, as well as any plan assets, from the present value of future cost of benefits. SFFAS No. 5 permits the use of actuarial cost methods other than the aggregate entry age normal actuarial cost method if the difference is not material.

The discount rates used to measure the MHS actuarial liabilities for USCG and USSS actuarial liability are based on the ten-year average historical rates of return on marketable Treasury securities as of June 30 of the fiscal year. The rates used in this average are the rates for securities that will mature on the dates on which future benefit payments are expected to be made.

For more information on MHS, Uniformed Division and Special Agent Pension, and the actuarial assumptions used to compute the accrued pension and healthcare liabilities, see [Note 15](#), Federal Employee and Veterans Benefits Payable.

X. Funds from Dedicated Collections

FFDC are financed by specifically identified revenue, provided to the government by non-federal sources, often supplemented by other financing sources, which remain available over time. These specifically identified revenue and other financing sources are required by statute to be used for designated activities, benefits, or purposes and must be accounted for separately from the Federal Government's general revenue.

Non-exchange revenue and other financing sources from FFDC, including net cost of operations, are shown separately on the Statement of Changes in Net Position. The portion of cumulative results of operations attributable to FFDC is shown separately on both the Statement of Changes in Net Position and the Balance Sheet.

For additional information, see [Note 21](#), Funds from Dedicated Collections.

Y. Revenue and Financing Sources

Appropriations. The Department receives the majority of funding to support its programs through congressional appropriations. The Department receives annual, multi-year, and no-year appropriations that may be used, within statutory limits, for operating and capital expenditures. Additional funding is obtained through exchange revenue, non-exchange revenue (including donations from the public), and transfers-in from other federal entities.

The Department also has permanent indefinite appropriations that result from permanent public laws, which authorize the Department to retain certain receipts. The amount appropriated depends upon the amount of the receipts rather than on a specific amount. The Department also has a permanent indefinite appropriation but does not retain the receipts. Specifically, amounts received and not issued as refunds to importers are returned to Treasury at the end of the fiscal year.

Appropriations are recognized as financing sources when related expenses are incurred, or assets are purchased.



Appropriations Received on the Statement of Changes in Net Position differs from that reported on the Combined Statement of Budgetary Resources because Appropriations Received on the Statement of Changes in Net Position do not include receipts from dedicated collections. Receipts from dedicated collections are accounted for as either exchange or non-exchange revenue.

Exchange and Non-Exchange Revenue. Exchange revenue is recognized when earned and is derived from transactions where both the government and the other party receive value (i.e., goods have been delivered or services have been rendered). Exchange revenue prices are recognized using full cost or market pricing guidance in OMB Circular No. A-25, *User Charges*, except when prices are set by law or executive order. Higher prices based on full cost or market price might reduce the quantity of goods or services demanded and, therefore, the difference between revenue received and such higher prices does not necessarily provide an indication of revenue foregone. DHS exchange revenue includes, but is not limited to: immigration fees; NFIP insurance premiums; Student Exchange Visa Program fees; and aviation security fees. Reimbursable exchange revenue includes but is not limited to: services provided to the government of Puerto Rico for the collection of duties, taxes, and fees; services for personnel; medical, housing, and various types of maritime support; the Federal Protective Service Guard personnel; and oil spill cleanup costs.

Revenue from reimbursable agreements is recognized when the goods or services are provided by the Department. Reimbursable work between federal agencies is generally subject to the *Economy Act of 1932* (P.L. 72-212).

The majority of DHS non-exchange revenue is derived from customs duties, custodial collections of user fees, taxes, fines and penalties, and interest on the fines and penalties net of refunds and drawbacks related to these collections. Non-exchange revenue from user fees results from the government's sovereign power to demand revenue and is recognized as earned. Examples of non-exchange revenue from user fees include the collection of fees by CBP on incoming private vessels, private aircraft, and commercial vehicles. Non-exchange revenue also arises from transfers-in with and without financing sources and donations from the public. Other financing sources, such as donations and transfers of assets without reimbursements, are recognized on the Statement of Changes in Net Position during the period in which the donations and transfers occurred.

Deferred revenue is recorded when the Department receives payment for goods or services which have not been fully rendered. Deferred revenue is reported as a liability on the Balance Sheet until earned. USCIS fees are related to adjudication of applications and petitions for immigration and naturalization services that are used to provide special benefits to recipients and pay the regulatory costs from the adjudication process. USCIS requires advance payments of the fees for adjudication of applications or petitions for immigration and naturalization benefits. FEMA's deferred revenue relates to other NFIP unearned revenue including the federal policy fee, reserve fund assessment, and HFIAA surcharges.

Inter-Entity Cost. Certain goods and services are received from other federal entities at no cost or at a cost less than the full cost to the providing federal entity. Consistent with accounting standards, certain costs of the providing entity that are not fully reimbursed are recognized as imputed cost and are offset by imputed revenue. Prices for goods and services sold to other Federal Government agencies are generally limited to the recovery of direct cost. Such imputed costs and revenues relate to business-type activities (if applicable), employee benefits, and claims to be settled by the Treasury Judgment Fund. However, unreimbursed costs of goods and services other than those identified above are not included in our financial statements.



Imputed Financing Sources. In certain instances, operating costs of the Department are paid out of funds appropriated to other federal agencies. For example, OPM, by law, pays certain costs of retirement programs, and certain legal judgments against DHS are paid from a judgment fund maintained by the Treasury. When costs that are identifiable to DHS and directly attributable to DHS operations are paid by other agencies, the Department recognizes these amounts as operating expenses. The Department also recognizes an imputed financing source on the Statement of Changes in Net Position to indicate the funding of DHS operations by other federal agencies.

Custodial Activity. Non-exchange and non-entity revenue, disbursements, and refunds and drawbacks are reported on the Statement of Custodial Activity using a modified cash basis. Non-entity revenue reported on the Department's Statement of Custodial Activity include duties, excise taxes, and various non-exchange fees collected by CBP that are subsequently remitted to the Treasury general fund or to other federal agencies. Duties, user fees, fines, and penalties are assessed pursuant to the provisions of 19 U.S.C.; nonimmigrant petition fees and interest under 8 U.S.C.; and excise taxes are assessed under 26 U.S.C.

CBP assesses duties, taxes, and fees on goods and merchandise brought into the United States from foreign countries. These revenue collections primarily result from current fiscal year activities. The custodial revenue is recorded at the time of collection. CBP records an equal and offsetting liability due to the Treasury general fund for amounts recognized as non-entity tax and trade receivables. Non-entity tax and trade accounts receivables consist of duties, excise taxes, user fees, fines and penalties, refunds and drawbacks overpayments, and interest associated with import/export activity, that have been established as specifically identifiable, legally enforceable claims that remain uncollected as of year-end. CBP accrues an estimate of duties, taxes, and fees related to entry summaries filed by the importer and received by CBP prior to year-end where receipt of payment is anticipated subsequent to year-end. The portions of the fees that are subsequently remitted to other federal agencies are recorded as custodial revenue at the time of collection. Non-entity receivables are presented net of amounts deemed uncollectible.

CBP tracks and enforces payment of estimated duties, taxes, and fees receivable by establishing a liquidated damages case that generally results in fines and penalties receivable. A fine or penalty, including any applicable interest on past-due balances, is established when a violation of import/export law is discovered.

Refunds and drawbacks of duties, taxes, and fees are recognized when payment is made. Generally, a permanent, indefinite appropriation is used to fund the disbursement of refunds and drawbacks. Disbursements are recorded as a decrease in the amount transferred to federal entities as reported on the Statement of Custodial Activity. The liability for refunds and drawbacks consists of amounts owed for refunds of duty and other trade related activity and drawback claims. CBP accrues a monthly liability for refunds and drawback claims approved at month-end but paid subsequent to month-end.

An accrual adjustment is recorded on the Statement of Custodial Activity to adjust cash collections and refund disbursements with the net increase or decrease of accrued non-entity accounts receivables, net of uncollectible amounts, and refunds payable at year-end. For additional information, see [Note 7](#), Taxes Receivable, Net, and [Note 27](#), Custodial Revenue.

Z. Taxes

The Department, as a federal agency, is not subject to federal, state, or local income taxes. Therefore, no provision for income taxes has been recorded in the accompanying financial statements.



2. Non-Entity Assets

As of September 30 (\$ in millions)	2025
Intragovernmental Assets:	
Fund Balance with Treasury	\$ 4,253
Total Intragovernmental Assets	<u>4,253</u>
With the Public:	
Cash and Other Monetary Assets	7
Accounts Receivable, Net	99
Taxes Receivable, Net	<u>25,230</u>
Total With the Public	<u>25,336</u>
Total Non-Entity Assets	29,589
Total Entity Assets	<u>410,382</u>
Total Assets	<u>\$ 439,971</u>

Non-entity Fund Balance with Treasury consists of certain special and deposit funds, permanent and indefinite appropriations, and miscellaneous receipts. Non-entity assets are also discussed in [Note 4](#), Cash and Other Monetary Assets, [Note 6](#), Accounts Receivable, Net, and [Note 7](#), Taxes Receivable, Net. Taxes receivable from the public represent amounts due from importers for goods and merchandise imported to the United States.

3. Fund Balance with Treasury

As of September 30 (\$ in millions)	2025
Budgetary Status	
Unobligated Balances:	
Available	\$ 221,929
Unavailable	4,896
Obligated Balance Not Yet Disbursed	<u>128,161</u>
Total Budgetary Status	<u>354,986</u>
Reconciling Adjustments:	
Receipt, Clearing, and Deposit Funds	3,026
Borrowing Authority (Note 22)	(506)
Investments	(12,884)
Receivable Transfers and Imprest Funds	(231)
Authority Unavailable for Obligation	11,042
Offsetting Collections Previously or Temporarily Precluded from Obligation	38
Sport Fish Restoration and Boating Trust Fund; Oil Spill Liability Trust Fund	1,855
Temporary Reduction of Budget Authority	648
Temporary Reduction of Specific Invested Treasury Account Symbol	(6)
Receipts and Appropriations Temporarily Precluded from Obligation	<u>1,134</u>
Total Fund Balance with Treasury	<u>\$ 359,102</u>

In FY 2025, the Department's total budgetary resources increased from the prior year mainly due to the OB3. This Act significantly increased the funding DHS received for enhancing border security infrastructure, including the construction and maintenance of physical barriers, advanced surveillance systems, modernization of USCG fleet and equipment, specifically to upgrade vessels, aircraft and equipment to enhance operational readiness and maritime security capabilities, and additional personnel for CBP and ICE.

The Disaster Relief Fund (DRF) is an appropriation against which FEMA can direct, coordinate, manage, and fund eligible response and recovery efforts associated with domestic major disasters and emergencies that overwhelm State resources pursuant to the *Robert T. Stafford Disaster Relief and Emergency Assistance Act* (Stafford Act) (P.L. 93-288, as amended by P.L. 100-707). The DRF represents approximately 6% of the unobligated balances available, and 25% of the Total Fund Balance with Treasury at September 30, 2025.

The Unobligated Balance Available in the Subsequent Periods include amounts apportioned for future fiscal years that are available for obligation in the following subsequent periods:

Fiscal Year	Amount (\$ in millions)
FY 2026	\$ 186,125
FY 2027	68

Portions of the Unobligated Balances Available, Unavailable, and Obligated Balance Not Yet Disbursed contain CBP’s user fees restricted by law in its use to offset costs incurred by CBP.

Portions of the Unobligated Balance Unavailable include amounts appropriated in prior fiscal years that are not available to fund new obligations, including expired funds. However, the amounts can be used for upward and downward adjustments for existing obligations in future years. The Obligated Balance Not Yet Disbursed represents amounts designated for payment of goods and services ordered but not received or goods and services received but for which payment has not yet been made.

Since the following line items do not post to Fund Balance with Treasury and budgetary status accounts simultaneously, certain adjustments are required to reconcile the budgetary status to non-budgetary Fund Balance with Treasury as reported in the accompanying Balance Sheet:

- Receipt, clearing, and deposit funds represent amounts on deposit with Treasury that have no budget status at September 30, 2025.
- Borrowing authority, to the extent of existing obligations, is in budgetary status for use by FEMA for NFIP purposes and CDLs, and transfers have been made to the Fund Balance with Treasury account for these purposes. For additional information, see [Note 22](#), Available Borrowing Authority.
- Budgetary resources have investments included, however, the money has been moved from the Fund Balance with Treasury asset account to Investments.
- Receivable transfers of currently invested balances increase the budget authority at the time the transfer is realized; however, obligations may be incurred before the actual transfer of funds.
- Imprest funds represent funds moved from Fund Balance with Treasury to Cash and Other Monetary Assets with no change in the budgetary status.
- For authority unavailable for obligations, authorizing statute may specify that obligations are not available until a specified time in the future or until specific legal requirements are met.
- Offsetting collections previously or temporarily precluded from obligation are offsetting collections that become unavailable for obligation until specific legal requirements are met.
- Sport Fish Restoration and Boating Trust Fund (SFRBTF) and Oil Spill Liability Trust Fund (OSLTF) are Treasury-managed funds. These funds receive revenue transferred from custodial activities of the Treasury, which are deposited in a Treasury account. For more information, see [Note 21](#), Funds from Dedicated Collections.



- Temporary reduction of budget authority includes new budget authority or prior-year balance that have been temporarily reduced by statute in special and nonrevolving trust funds associated with receipt accounts designated by the Treasury as available.
- Temporary reduction of specific invested Treasury account symbols includes reductions of amounts appropriated from specific invested Treasury account symbols in the current year due to OMB sequestered amounts.
- Receipts and appropriations temporarily precluded from obligation are budget authority that becomes available for obligation from appropriations (derived from special or trust non-revolving fund receipts) and borrowing authority previously precluded from obligation.

4. Cash and Other Monetary Assets

As of September 30, 2025, total cash and other monetary assets were \$93 million. DHS cash includes cash held by others, imprest funds, undeposited collections, such as seized funds, and the net balances maintained by insurance companies for flood insurance activity. Restricted non-entity cash and other monetary assets were \$7 million at September 30, 2025 (see [Note 2](#), Non-Entity Assets). Restricted non-entity cash consists of undeposited collections that can be distributed to the Treasury General Fund, other federal agencies, or other governments.

5. Investments, Net

As of September 30, 2025 (\$ in millions)						
Type of Investment	Amortization Method	Cost	Amortized (Premium) Discount	Interest Receivable	Investments, Net	Market Value Disclosure
Intragovernmental Securities and Investments:						
OSLTF	Effective interest method	\$ 10,571	\$ (110)	\$ 25	\$ 10,486	\$ 10,472
SFRBTF	Effective interest method	2,553	2	22	2,577	2,557
General Gift Fund	Effective interest method	1	-	-	1	1
Total Nonmarketable, Market-Based		13,125	(108)	47	13,064	13,030
Total Intragovernmental Securities and Investments, Net		\$ 13,125	\$ (108)	\$ 47	\$ 13,064	

The Federal Government does not set aside assets to pay future benefits or other expenditures associated with FFDC: OSLTF, SFRBTF and General Gift Fund at USCG. The cash receipts collected from the public for a FFDC are deposited in the Treasury, which uses the cash for general Federal Government purposes. Treasury securities are issued to USCG as evidence of its receipts. Treasury securities associated with FFDC are an asset to USCG, and a liability to the Treasury. Treasury securities are eliminated in consolidation for the U.S. Government-Wide financial statements.

Treasury securities provide USCG with ability to draw upon the Treasury to make future benefit payments or other expenditures. When USCG redeems the Treasury securities to make expenditures, the Treasury will finance those expenditures in the same manner that it finances all other expenditures. For additional information, see [Note 21](#), Funds from Dedicated Collections.



The National Flood Insurance Reserve Fund was established by the *Biggert-Waters Flood Insurance Reform Act of 2012* to meet the expected future obligations of the NFIP. In December 2024, the fund was depleted due to the combined losses from Hurricanes Helene and Milton that occurred in October 2024.

6. Accounts Receivable, Net

As of September 30 (\$ in millions)	2025
Intragovernmental	\$ 532
With the Public:	
Accounts Receivable, Gross	8,320
Allowance for Doubtful Accounts	(6,234)
Total with the Public	2,086
Accounts Receivable, Net	\$ 2,618

As of September 30, 2025, total restricted non-entity accounts receivable was \$99 million (see [Note 2](#), Non-Entity Assets). Interest is accrued on uncollectible accounts receivable until the interest payment requirement is officially waived by the entity or the related debt is written off.

In FY 2025, the accounts receivable and allowance for doubtful accounts significantly increased due to Executive Order 14159 (January 20, 2025), *Protecting the American People Against Invasion*, Section 8, Civil Fines and Penalties. This order reinforced the assessment and collection of these fines. As of September 30, 2025, the accounts receivable, net included \$6,099 million of gross receivables related to non-exchange revenue from enforcement actions related to civil penalties – failure to depart and document fraud, of which 99.67% was deemed uncollectible, totaling \$6,079 million.

Between July and September 2025, CBP became responsible for several new fees and penalties collections. The civil monetary penalties are issued pursuant to the *Immigration and Nationality Act of 1952* (INA) (P.L. 82-414) and 8 CFR Section 281 when aliens fail to timely depart pursuant to either a voluntary departure order, a final administrative removal order, or improper entry into the United States. The immigration fees are imposed pursuant to 8 U.S.C. §1814 and §1815 on aliens who are ordered removed in absentia and are subsequently arrested by ICE or inadmissible aliens who are apprehended by DHS between ports.

Accounts receivable, net include amounts related to criminal restitution owed to the government. As of September 30, 2025, accounts receivable, net included \$2,110 million of gross receivables related to criminal restitution orders, of which \$9 million is determined to be collectible.

CBP also has criminal restitution orders most of which are related to, and reported as part of, taxes and duties receivable due to their custodial nature (See [Note 7](#), Taxes Receivable, Net). As of September 30, 2025, gross receivables and net collectible amounts related to CBP's criminal restitution orders are \$2,081 million and \$8 million, respectively.



7. Taxes Receivable, Net

As of September 30, 2025 (\$ in millions):	Gross Receivables	Allowance	Total Net Receivables
Duties	\$ 25,636	\$ (1,760)	\$ 23,876
Antidumping and Countervailing Duties	4,924	(4,770)	154
Excise Taxes	79	(15)	64
User Fees	114	(20)	94
Fines/Penalties	3,596	(2,710)	886
Interest Receivable	4,675	(4,519)	156
Total Taxes Receivable, Net	\$ 39,024	\$ (13,794)	\$ 25,230

CBP assesses duties, taxes, and fees on goods and merchandise brought into the United States from foreign countries. When merchandise is imported, bonds are generally required to secure U.S. revenue because the final determination of duties, taxes, and fees (known as liquidation) is not made at the time of importation but may occur months or years later. CBP allows the release of merchandise before the final determination of all duties, taxes, and fees owed, provided the importer of record posts a bond or other security to insure payment and compliance with other applicable laws and regulations.

Antidumping duties are assessed when it is determined that a class or kind of foreign merchandise is being released into the U.S. economy at less than its fair value to the detriment of a U.S. industry. Countervailing duties are assessed when it is determined that a foreign government is providing a subsidy to its local industries to manufacture, produce, or export a class or kind of merchandise for import into the U.S. commerce to the detriment of a U.S. industry.

When a violation of import/export law is discovered, a fine or penalty may be imposed. If imposed, CBP assesses liquidated damages or a penalty for these cases up to the maximum extent of the law. After receiving the notice of assessment, the importer, surety, or other party has 60 days to either file a petition requesting a review of the assessment or pay the assessed amount. Once a petition is received, CBP investigates the circumstances as required by its mitigation guidelines and directives. The Department recognizes valid fines and penalties as receivable balances, which are adjusted by an allowance for doubtful accounts. This allowance is calculated based on factors such as collection efforts, payment history, and bankruptcy status.

CBP assesses interest when taxes, duties, and trade receivables remain unpaid after the original due date. The interest is calculated using the rate published on the CBP website and in the Federal Register quarterly. Interest accruals are calculated using the same methodology as the underlying receivable accrual and include an allowance for amounts deemed potentially uncollectible.

8. Inventory and Related Property, Net

As of September 30 (\$ in millions)	2025
OM&S	
Items Held for Use	\$ 2,101
Items Held for Future Use	93
Items Held for Repair	1,624
Less: Allowance for Losses	(585)
Total OM&S, Net	3,233

(table continued on next page)



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As of September 30 (\$ in millions)	2025
Inventory	
Inventory Purchased for Resale	47
Less: Allowance for Losses	(7)
Total Inventory, Net	40
Stockpile Materials Held in Reserve	162
Total Inventory and Related Property, Net	<u>\$ 3,435</u>

9. Seized and Forfeited Property

For the Fiscal Year Ended September 30, 2025					
Prohibited Seized Property	Beginning Balance	New Seizures	Remissions and Adjustments	New Forfeitures	Ending Balance
Illegal Drugs (in kilograms)					
Marijuana	-	83,265	(54)	(83,211)	-
Cocaine	-	95,307	(188)	(95,119)	-
Heroin	-	754	(135)	(619)	-
Methamphetamine	-	81,602	(72)	(81,530)	-
Khat	-	20,951	-	(20,951)	-
Synthetic Marijuana	-	371	13	(384)	-
Fentanyl	-	7,036	(57)	(6,979)	-
Other Drugs	32,068	141,104	316,877	(48,172)	441,877
Firearms and Explosives (in number of case line items)	5,378	5,363	(2,384)	(2,454)	5,903
Counterfeit Currency (U.S./Foreign, in number of items)	2,065,381	1,756,153	(2,919,095)	-	902,439
Counterfeit Goods (in number of case line items)	32,775	90,986	(7,920)	(90,451)	25,390
Prohibited Forfeited Property	Beginning Balance	New Forfeitures	Transfers and Adjustments	Destroyed	Ending Balance
Illegal Drugs (in kilograms)					
Marijuana	20,972	83,211	(18,405)	(63,200)	22,578
Cocaine	25,456	95,119	(26,899)	(43,326)	50,350
Heroin	1,310	619	(128)	(597)	1,204
Methamphetamine	72,869	81,530	(3,299)	(69,483)	81,617
Khat	93	20,951	143	(21,175)	12
Synthetic Marijuana	902	384	(75)	(331)	880
Fentanyl	11,646	6,979	(2,148)	(3,951)	12,526
Other Drugs	29,506	48,172	(15,014)	(36,695)	25,969
Firearms and Explosives (in number of case line items)	3,788	2,454	117	(2,534)	3,825
Counterfeit Goods (in number of case line items)	30,726	90,451	(122)	(92,366)	28,689

This schedule is presented for prohibited (non-valued) seized and forfeited property. These items are retained and ultimately destroyed by CBP and USSS and are not transferred to the Treasury's forfeiture fund or other federal agencies, with



the exception of drugs, which may be transferred to another federal, state, and or local government if deemed necessary and for prosecution purposes.

Illegal drugs consist of tested and verified controlled substances as defined per the *Controlled Substances Act of 1970* (P.L. 91-513). Illegal drugs are presented in kilograms, and a portion of the weight includes packaging, which often cannot be reasonably separated from the weight of the drugs since the packaging must be maintained for evidentiary purposes. Cases containing trace or residue amounts of illegal drugs are excluded from the footnote. Illegal drugs are presented as summarily forfeited². Other drugs include insignificant amounts of controlled substances that do not warrant being isolated to an individual category or precursor chemicals, which are used to manufacture illicit drugs, such as methamphetamines.

When narcotics are seized by CBP/ICE, the property will either be destroyed or transferred to another law enforcement agency. For seizures that occur in international waters, USCG interdicts the narcotics at sea and turns the property over to CBP/ICE or another law enforcement agency. If property is turned over to CBP/ICE, a seizure weight is obtained, entered into the Seized Assets and Case Tracking System, and on the chain of custody.

For firearms, the ending balance includes only those seized items that can actually be used as firearms. Firearms are presented in number of case line items, which represent different types of firearms seized as part of a case. Counterfeit goods include clothing, footwear, jewelry, electronic equipment, movies, media, identification documents, and other items. Counterfeit goods are presented in number of case line items. USCG and CBP/ICE also seize and take temporary possession of small boats, equipment, general property, firearms, contraband, and illegal drugs. CBP maintains the seized property on behalf of USCG and ICE, and transfers nonprohibited seized property to the Treasury Forfeiture Fund.

Remissions occur when CBP returns property back to the violator. Adjustments are caused by changes during the year to the beginning balances due to changes in legal status or property types. For example, a case considered forfeited could be re-opened and changed to seized status or a drug property type may change on a case. Transfers occur when CBP conveys property to other federal, state, and local law enforcement agencies for prosecution, destruction, or donation.

USSS counterfeit currency includes notes received from external sources or seized during investigations. Counterfeit currency is presented in number of notes, and represents notes maintained in USSS, including items that are pending destruction. All items are maintained in a secured location until the items reach their eligible destruction date. Counterfeit currency ending balances decrease when notes are destroyed, or when a counterfeit note is reclassified as an educational note.

10. Property, Plant, and Equipment, Net

As of September 30, 2025 (\$ in millions)	Useful Life	Cost	Accumulated Depreciation/ Amortization	Total Net Book Value
Land and Land Rights	N/A	\$ 360	N/A	\$ 360
Improvements to Land	2-50 yrs	8,265	(2,517)	5,748
Construction in Progress	N/A	7,416	N/A	7,416
Buildings, Other Structures, and Facilities	10-50 yrs	10,126	(5,974)	4,152

(table continued on next page)

² Summarily forfeited refers to when a drug is seized and processed, it is immediately forfeited to the government not requiring further administrative or judicial action.



(table continued from prior page)

As of September 30, 2025 (\$ in millions)	Useful Life	Cost	Accumulated Depreciation/ Amortization	Total Net Book Value
Equipment:				
Information Technology Equipment	5 yrs	588	(506)	82
Aircraft	20 yrs	7,423	(4,392)	3,031
Vessels	5-30 yrs	13,598	(6,384)	7,214
Vehicles	5-15 yrs	1,002	(867)	135
Other Equipment	5-15 yrs	8,875	(6,661)	2,214
Leasehold Improvements	2-50 yrs	3,580	(2,526)	1,054
Internal Use Software	2-13 yrs	6,730	(5,408)	1,322
Internal Use Software - In Development	N/A	367	N/A	367
Lessee Right-to-Use Lease Asset	> 2 yrs	1,125	(225)	900
Total PP&E, Net		\$ 69,455	\$ (35,460)	\$ 33,995

Additional information on useful life of PP&E is disclosed in [Note 1.N](#) and Lessee RTU Leases is disclosed in [Note 18](#), Leases.

Reconciliation: Total PP&E, Net (\$ in millions)

	2025
Balance Beginning of Year	\$ 34,580
Capitalized Acquisitions	3,187
Right-to-Use Lease Assets	190
Amortization of Right-to-Use Lease Assets	(126)
Dispositions	(933)
Transfers in/out without Reimbursement	99
Revaluations	(148)
Depreciation Expense	(2,896)
Donations	44
Other	(2)
Balance End of Year	\$ 33,995

11. Stewardship Property, Plant, and Equipment

The Department's Stewardship PP&E is comprised of items held by DHS. These heritage assets are in the United States and the Commonwealth of Puerto Rico. Collection-type heritage assets are presented in either number of collections or number of individual items, while non-collection-type and multi-use heritage assets are presented in number of individual units.

As of September 30, 2025	Beginning Balance	Additions	Withdrawals	Total
Collection-type Assets				
CBP	2	-	-	2
USCG	9	-	-	9
USCIS	5	-	-	5
MGMT	1	-	-	1
S&T	1	-	-	1
USSS	2	-	-	2
TSA	10	-	-	10
Non-Collection-type Assets				
USCG	66	-	-	66
FLETC	1	-	-	1
S&T	50	-	-	50

(table continued on next page)



(table continued from prior page)

As of September 30, 2025	Beginning Balance	Additions	Withdrawals	Total
Multi-use Heritage Assets				
CBP	4	-	-	4
USCG	80	-	(3)	77
FEMA	1	-	-	1
ICE	1	-	-	1
S&T	3	-	-	3
Total Stewardship PP&E	236	-	(3)	233

The Department's Stewardship PP&E consists of documents, historical artifacts, immigration and naturalization files, artwork, buildings, and structures, which are unique due to historical, cultural, artistic, or architectural significance, and are used to preserve and provide an education on the Department's history and tradition. Generally, these heritage assets are not included in PP&E presented on the Balance Sheet. Components define collection-type assets as either individual items, or an aggregate of items grouped by location or category, depending on mission, types of assets, materiality considerations, and how the Component manages the assets. Additions are derived from many sources, including gifts from current or former personnel or the general public, bequests, and transfers from other federal agencies. As assessments are made of heritage assets, individual items are withdrawn from a collection when they have deteriorated through damage due to moving and transportation, storage or display, or environmental degradation. Individual items are also withdrawn when curatorial staff determines that an artifact does not meet the needs of the collection, or the characteristics of a heritage asset.

Information concerning deferred maintenance and repairs and estimated land acreage is discussed in Unaudited Required Supplementary Information.

Collection-type Heritage Assets. The Department classifies items maintained for exhibition or display as collection-type heritage assets. As the lead agency ensuring a safe, secure, and resilient homeland, the Department uses this property for the purpose of educating individuals about its history, mission, values, and culture.

CBP collection-type heritage assets are categorized and grouped into two collections: archival materials and artifacts. Archival materials include port records, CBP regulations, and ledgers of Collectors of Customs. Artifacts include antique scales, pictures of Customs inspectors, tools used to sample imported commodities such as wood bales and bulk grain, and Customs uniforms, badges, and stamps.

USCG collection-type heritage assets are defined by groups of items categorized as artifacts, artwork, and display models, located at USCG Headquarters, the USCG Academy, and all other locations, such as field units. Each location's collection is considered one asset. Artifacts include ships' equipment (sextants, bells, binnacles, etc.), decommissioned aids to-navigation and communication equipment (buoy bells, lighthouse lenses, lanterns, etc.), personal-use items (uniforms and related accessories), and ordnance (cannons, rifles, and Lyle guns). Artwork consists of USCG's collection of World War II combat art, as well as modern art depicting both historical and modern USCG activities. Display models are mostly of USCG vessels and aircraft. These are often builders' models acquired by USCG as part of the contracts with the ship or aircraft builders.

USCIS collection-type heritage assets consist of an archive of five collections of immigration and naturalization files that can be used to trace family lineages. USCIS has established the USCIS Genealogy Program to allow the public access to



the records on a fee for-service basis. Archived records available through the USCIS Genealogy Program include naturalization certificate files, alien registration forms, visa files, registry files, as well as alien files numbered below eight million and documents dated prior to May 1951.

MGMT has one collection-type heritage asset, a portion of one of the beams from the World Trade Center, which was received from TSA. It is kept at the DHS Headquarters Gallery at St. Elizabeth to educate visitors about why DHS and TSA were established.

S&T maintains one collection-type heritage asset—the fourth-order Fresnel lens from the historic Plum Island lighthouse. The lens was an integral part of the Plum Island lighthouse, which is listed in the National Register of Historic Places. The lens is on loan for display at the East End Seaport Maritime Museum in Greenport, New York.

USSS collection-type heritage assets are categorized into a collection of historical artifacts—including records, photographs, documents, and other items pertaining to the history of USSS—and a collection of historical vehicles pertaining to the history of presidential transportation. Historical artifacts are maintained, stored, or displayed in USSS archives and in the Secret Service Exhibit Hall. The vehicles are displayed at the James J. Rowley Training Center in Laurel, Maryland, or on loan to Presidential libraries. These items are used to educate employees and their guests about USSS's integrated missions of investigations and protection.

TSA collection-type heritage assets include five architectural or building artifacts, and five aviation security technology items. The architectural or building artifacts include a collection of concrete pieces that belonged to the western wall of the Pentagon, a collection of subway rails from the Port Authority Trans-Hudson subway station located below the World Trade Center, and three individual artifacts related to both the steel structure and facade of the World Trade Center Towers that were destroyed by the terrorist attacks of September 11, 2001. The five aviation security technology items include two walk-through metal detectors, two X-ray machines, and an explosives trace detection portal machine. These items are preserved as aviation security technology equipment that was used to screen the individuals who carried out the September 11, 2001 terrorist attacks.

Non-Collection-type Heritage Assets. The Department also maintains non-collection-type heritage assets that are unique for historical or natural significance, as well as cultural, educational, or artistic importance.

USCG non-collection-type heritage assets include buildings, structures, sunken vessels, and aircraft. Buildings and structures such as lighthouses and monuments are classified as non-collection-type heritage assets in accordance with SFFAS No. 29, *Heritage Assets and Stewardship Land*. Sunken vessels and aircraft are classified as non-collection-type heritage assets, as stipulated in the property clause of the U.S. Constitution, Articles 95 and 96 of the *International Law of the Sea Convention*, *Sunken Military Craft Act of 2004* (P.L. 108-375), and the sovereign immunity provisions of admiralty law. Despite the passage of time or the physical condition of these assets, they remain government-owned until the Congress of the United States formally declares them abandoned. USCG desires to retain custody of these assets to safeguard the remains of crew members lost at sea, to prevent the unauthorized handling of explosives or ordnance that may be aboard, and to preserve culturally valuable artifacts of USCG.

FLETC non-collection-type heritage assets consist of a memorial associated with the World Trade Center located in Glynnco, Georgia. The memorial integrates a piece of steel from the World Trade Center's steel structure into the overall design. The memorial is the primary site for student graduations from FLETC, and also a venue



for various special events, linking the FLETC mission and training efforts to this past tragedy.

S&T non-collection-type heritage assets consist of the Plum Island Lighthouse and Fort Terry Historic District, located on Plum Island, in Suffolk County, New York. The Plum Island Lighthouse and Fort Terry Historic District are listed on the National Register of Historic Places.

Multi-Use Heritage Assets. When heritage assets are functioning in operational status, the Department classifies these as multi-use heritage assets in accordance with SFFAS No. 6, *Accounting for Property, Plant and Equipment* and SFFAS No. 29, *Heritage Assets and Stewardship Land*. All multi-use heritage assets are reflected on the Balance Sheet as PP&E and are depreciated over their useful life. Some examples are historic lighthouses and buildings still in use. Deferred maintenance and condition information for heritage assets and PP&E are presented in the required supplementary information. When multi-use heritage assets are no longer needed for operational purposes, they are reclassified as collection-type or non-collection-type heritage assets, or transferred to other government agencies or public entities.

CBP has four multi-use heritage assets located in Puerto Rico, which consist of customs houses that facilitate the collection of revenue for the Department.

USCG possesses a wide range of multi-use heritage assets, such as buildings, structures, and lighthouses that have historical and cultural significance. In FY 2025, three assets, including two lighthouses in Connecticut and Massachusetts, and a station building in New Jersey, were determined to no longer support the mission and were withdrawn from the collection.

FEMA has one multi-use heritage asset, the National Emergency Training Center, which is used by the Emergency Management Institute and the U.S. Fire Administration's National Fire Academy for training in Emmitsburg, Maryland.

ICE has one multi-use heritage asset at the ICE Honolulu Facility in Hawaii. The asset consists of a complex of buildings included in the National Register of Historic Places.

S&T has three multi-use heritage assets which consist of the motor pool, duty officer's quarters, and the fire station, located in the Plum Island Fort Terry Historic District, Suffolk County, New York.

12. Other Assets

As of September 30 (\$ in millions)		2025
Intragovernmental Assets:		
Advances and Prepayments	\$	560
Total Intragovernmental Assets		560
With the Public:		
Advances and Prepayments		1,838
Total With the Public		1,838
Total Other Assets	\$	2,398



13. Liabilities Not Covered by Budgetary Resources

As of September 30 (\$ in millions)	2025
Intragovernmental Liabilities:	
Debt (Note 14)	\$ 22,525
Accrued FECA Liability (Note 17)	559
Other	123
Total Intragovernmental Liabilities	23,207
With the Public:	
Federal Employee and Veterans Benefits Payable:	
Accrued Payroll and Benefits (Note 15)	2,533
Actuarial FECA Liability (Note 15)	2,665
Military Service and Other Retirement Benefits (Note 15)	15,022
Actuarial Liabilities for Federal Insurance and Guarantee Programs	349
Environmental and Disposal Liabilities (Note 16)	760
Contingent Liabilities (Note 20)	348
Lessee Lease Liability (Note 18)	909
Other (Note 17)	16
Total With the Public	22,602
Total Liabilities Not Covered by Budgetary Resources	\$ 45,809
Total Liabilities Not Requiring Budgetary Resources	\$ 26,027
Total Liabilities Covered by Budgetary Resources	\$ 25,277
Total Liabilities	\$ 97,113

The Department anticipates the portion of Liabilities Not Covered by Budgetary Resources listed above will be funded from future budgetary resources when required. Total Liabilities Not Requiring Budgetary Resources represents liabilities for clearing accounts, non-fiduciary deposit funds, and custodial collections, including amounts due to the general fund. The remaining liabilities are substantially covered by current budgetary resources.

14. Debt

As of September 30 (\$ in millions)	2025
Debt to the Treasury General Fund:	
NFIP:	
Beginning Balance	\$ 20,525
New Borrowing	2,000
Interest Payable	-
Repayments	-
Ending Balance	22,525
DADLP (Credit Reform):	
Beginning Balance	7
New Borrowing	6
Interest Payable	-
Repayments	(5)
Ending Balance	8
Total Debt	\$ 22,533

The Department's intragovernmental debt is owed to Treasury and consists of borrowings to finance FEMA's NFIP and DADLP.

NFIP debt normally has a three-year term unless Treasury grants an exception for a greater term such as ten years. Annually, the Department of Treasury and FEMA enter into a Memorandum of Understanding pursuant to 42 U.S.C. §4016 which



authorizes the Administrator to issue notes or other obligations to the Secretary of the Treasury to assist in financing the NFIP. In accordance with the Memorandum of Understanding, FEMA requests an advance to cover claims losses and loss adjustment expenses for catastrophic flooding events with a term within three years unless another period of time is agreed upon. In 2017 to pay claim losses resulting from Hurricane Harvey, FEMA borrowed \$11,925 million with ten-year terms maturing in 2027. The remaining loans are for one-year terms maturing in 2026. Interest rates are obtained from Treasury and range by cohort year from 2.25% to 4.25% as of September 30, 2025. Interest is paid semi-annually on March 31 and September 30. The total interest paid for the year was \$681 million as of September 30, 2025. Interest is accrued based on the debt balances reported. Principal repayments are permitted any time during the term of the debt. At maturity, the debt may be repaid or refinanced. The debt and interest payments are financed by the flood premiums from policyholders. Given the current rate structure, FEMA will not be able to pay its debt from the premium revenue alone; therefore, FEMA does not anticipate repaying the debt in full.

In accordance with the requirements established by the *Biggert-Waters Flood Insurance Reform Act of 2012*, FEMA reports on the status of the debt, interest paid since 2005, and principal repayments to OMB and Congress on a semi-annual basis. These requirements established a quarterly reporting requirement for the Reserve Ratio Requirement.

Under Credit Reform, the unsubsidized portion of debt is borrowed from Treasury. The repayment terms of FEMA's borrowing are based on the life of each cohort of debt. Proceeds from collections of principal and interest from the borrowers are used to repay Treasury. In addition, an annual re-estimate is performed to determine any change from the original subsidy rate. If an upward re-estimate is determined to be necessary, these funds are available through permanent indefinite authority, which is to be approved by OMB. Once these funds are appropriated, the original borrowings are repaid to Treasury. The weighted average interest rate for FY 2025 was 4.37%. For additional information, see [Note 22](#), Available Borrowing Authority.

15. Federal Employee and Veterans Benefits Payable

As of September 30 (\$ in millions)		2025
Federal Employee Salary, Leave, and Benefits Payable		
Unfunded Payroll and Benefits	\$	2,533
Accrued Funded Payroll and Benefits		1,132
Total Federal Employee Salary, Leave, and Benefits Payable	\$	3,665
Pension, Post-Employment, and Veterans Benefit Payable		
USCG Healthcare Benefits	\$	10,636
USSS Uniformed Division and Special Agent Pension		4,386
Actuarial FECA Liability		2,665
Other Post-Employment Benefits Due and Payable		2
Total Pension, Post-Employment, and Veterans Benefits Payable	\$	17,689





A. Reconciliation of Beginning and Ending Liability Balances for Pensions and ORB

For the Year Ended September 30, 2025 (\$ in millions):	USCG Military Health System	USSS Uniformed Division and Special Agent Pension	Total
Beginning Liability Balance:	\$ 9,578	\$ 4,437	\$ 14,015
Expenses:			
Normal Cost	560	-	560
Interest on the Liability Balance	326	113	439
Actuarial Losses/(Gains):			
From Experience	10	134	144
From Assumption Changes	468	(9)	459
Other	-	(2)	(2)
Total Expense	1,364	236	1,600
Less: Amounts Paid	306	287	593
Ending Liability Balance	\$ 10,636	\$ 4,386	\$ 15,022

USCG MHS. USCG's MHS is a post-retirement medical benefit plan that covers all active component and reserve component members of USCG until they become eligible for Medicare (normally age 65). The accrued MHS liability is for the healthcare of non-Medicare eligible retirees and beneficiaries. The DoD MERHCF finances and manages the healthcare benefits for the Medicare-eligible beneficiaries of all DoD and non-DoD uniformed services. Actuarial accrued liabilities represent the present value of the future payments that are expected to be paid under the provisions of the medical benefit plan.

The significant actuarial assumptions used to compute the accrued liability for the MHS as of September 30, 2025, are as follows:

1. For active-duty members and reserves, USCG uses the DoD assumption; an 80% male/20% female blend of the MP-2021 Mortality Improvement Scale developed by the Society of Actuaries. For military retirees and annuitants, USCG uses the DoD Mortality Improvement tables. Underlying mortality rates are based on DoD tables, which were modified this year for retirees, based on actual DoD experience.
2. Disability, withdrawal, and retirement tables reflecting actual USCG experience were developed based on a USCG experience study dated October 10, 2024.
3. Healthcare cost increase assumptions are based on the annual liability report provided by DoD and vary, depending on the year and type of care. The assumption for medical trend rates resulted in a loss of \$927.7 million.
4. The discount rate percent is determined in accordance with SFFAS No. 33. The current discount rate for MHS increased from 2.93% for the health system to 3.12% on June 30, 2025.
5. Post-Retirement health benefit assumptions include a single equivalent medical cost trend rate of 4.94% and an ultimate medical trend rate of 4.80% after 25 years.
6. The FY 2025 valuation was prepared as of September 30, 2024 using economic assumptions based on a ten-year average that reflects the June 30, 2025 Treasury Rates. The accrued liability was then projected to September 30, 2025, using these same June 30th rates.

USSS Uniformed Division and Special Agent Pension. Special agents and other USSS personnel in certain job series hired as civilians before January 1, 1984, are



eligible to transfer to the D.C. Police Officers' and Firefighters' Retirement Plan (D.C. Pension Plan) after completion of ten years of USSS employment and ten years of protection-related experience. This plan also includes beneficiaries and dependents. All uniformed USSS officers who were hired before January 1, 1984, are automatically covered under this retirement system. Participants in the Uniformed Division and Special Agent Pension Plan make contributions of 7% of base pay with no matching contribution made by USSS. Annuitants of this plan receive benefit payments directly from the D.C. Pension Plan. The benefits for this plan are not currently prefunded and USSS has no segregated plan assets. Each year's contribution equals the benefits paid from the plan. USSS reimburses Washington, D.C., for the difference between benefits provided to the annuitants and payroll contributions received from current employees. This liability is presented as a component of the liability for Federal Employee and Veterans Benefits Payable in the accompanying Balance Sheet. SFFAS No. 5 requires the administrative entity (administrator) to report the actuarial liability. However, USSS records a liability because the administrator (the D.C. Pension Plan) is not a federal entity and as such the liability for future funding would not otherwise be recorded in the government-wide consolidated financial statements.

The primary actuarial assumptions used to determine the liability at September 30, 2025, are as follows:

1. The mortality assumption is based on the OPM non-U.S. Postal Service (USPS) mortality tables projected using the OPM projection scale. There are separate healthy and disabled annuitant tables.
2. The equalization pay is equal to the greater of:
 - The average of the last ten equalization pays for each category (General Service (GS), Uniformed Division (UD), and Senior Executive Service (SES)), or
 - Consumer Price Index (CPI) assumption as determined by the Treasury Breakeven Inflation (TBI) yield curve.
3. All annuitants were coded as GS, UD, or SES. The average equalization pay over the last ten years was 2.74% for the GS group, 2.89% for the UD group, and 3.49% for the SES group. The ten-year average equalization pays for all groups is more than the CPI assumption derived from a ten-year average (same period as the discount rate) of the TBI curve of 2.04%. The equalization pay assumption remained the same at 2.00%. Since the ten-year average of the equalization pays for all groups is greater than the TBI curve, their Cost of Living Allowance (COLA) assumption was set to equal to the same rates, 2.74% for the GS group, 2.89% for the UD group, and 3.49% for the SES group.
4. The assumption for future survivors' cost of living awards was based on the implicit ten-year average inflation assumption built into Treasury security prices plus the average number of survivor COLA awards over the last ten years. The implicit inflation from Treasury securities is derived from a ten-year average of the TBI curve. Each time a 3% award is granted, an extra 100 basis points are added to the COLA award. Because there were eight such awards over the last ten years, 80 basis points were added to the results. The basis point adjustment is reviewed annually based on the number of COLA awards over the past ten years. Given the slight increase in the implicit rate and an additional COLA awarded in the ten-year period ending June 30, 2025, the COLA assumption for survivors increased from 2.70% last year to 2.84% this year.
5. The discount rate was changed from 2.63% to 2.81%. The methodology in calculating this rate uses a ten-year Treasury average ending June 30 of the fiscal year. This is consistent with DoD, OPM, and USCG. The rounding of the discount rate is to the nearest 0.01%.



6. Rates of salary increases are no longer applicable because all plan participants have now retired.
7. 85% of participants are assumed to have a spouse eligible for death benefits at the time of the commencement of benefits. Females are assumed to be three years younger than male spouses.
8. The installment benefit payable upon the death of a retired participant is 40% basic pay for the highest amounts, adjusted for cost-of-living increases if death occurs after retirement.

B. Actuarial FECA Liability

The actuarial FECA liability represents the estimated liability for future workers' compensation and includes the expected liability for death, disability, medical, and miscellaneous costs for approved cases. Future workers' compensation estimates for the future cost of approved compensation cases, which are generated from an application of actuarial procedures developed by DOL, were approximately \$2,665 million at September 30, 2025.

16. Environmental and Disposal Liabilities

Environmental and Disposal Liabilities at September 30, 2025 are \$761 million. The Department is responsible for remediating its sites with environmental contamination and is party to various administrative proceedings, legal actions, and tort claims that may result in settlements or decisions adverse to the Federal Government. The source of remediation requirements to determine the environmental liability is based on compliance with federal, state, or local environmental laws and regulations. The major federal laws covering environmental response, cleanup, and monitoring are the *Comprehensive Environmental Response, Compensation and Liability Act of 1980* (P.L. 96-510) and the *Resource Conservation and Recovery Act of 1976* (P.L. 94-580).

Most of the Department's environmental liabilities are related to USCG shore facilities, USCG vessels, S&T's Plum Island Animal Disease Center, and asbestos-related liabilities for abatement of both friable and nonfriable asbestos. Most of the Department's asbestos-related liabilities are those of USCG.

Cost estimates for environmental and disposal liabilities are subject to revision as a result of changes in inflation, technology, environmental laws and regulations, and plans for disposal.

Environmental contingencies are disclosed in [Note 20](#), Commitments and Contingent Liabilities.

17. Other Liabilities

As of September 30, 2025 (\$ in millions):	Current	Non-Current	Total
Intragovernmental Liabilities			
Advances from Others	\$ 244	\$ -	\$ 244
Other Liabilities (Without Reciprocals)			
Employer Contributions and Payroll Taxes Payable	34	-	34
Other Unfunded Employment Related Liability	16	-	16
Liability for Clearing Accounts	(182)	-	(182)
Due to the General Fund	25,254	-	25,254
Due to Other than General Fund	117	-	117

(table continued on next page)



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As of September 30, 2025 (\$ in millions):	Current	Non-Current	Total
Other Liabilities – Benefit			
Contributions Payable			
Employer Contributions and Payroll Taxes Payable	253	-	253
Other Post-Employment Benefits Due and Payable	74	-	74
Accrued FECA Liability (Note 13)	187	372	559
Other Unfunded Employment Related Liability	6	-	6
Other Liabilities – Reimbursable Activities			
Other Liabilities Without Related Budgetary Obligations	80	29	109
Total Intragovernmental Liabilities	\$ 26,083	\$ 401	\$ 26,484
With the Public			
Accrued Liabilities for Hermit's Peak/Calf Canyon Fire Assistance Claims	\$ 2,038	\$ -	\$ 2,038
Accrued Liabilities for Grants and Cooperative Agreements	2,913	-	2,913
Advances from Others and Deferred Revenue	3,914	1,753	5,667
Withholdings Payable	98	-	98
Contingent Liabilities (Note 20)	228	133	361
Lease Liability (Note 18)	24	1	25
Unfunded Lessee Lease Liability (Note 18)	89	820	909
Refunds and Drawbacks	990	-	990
Contract Holdbacks	14	27	41
Other Liabilities with Related Budgetary Obligations	(45)	1	(44)
Liability for Nonfiduciary Deposit Funds and Undeposited Collections	1,303	950	2,253
Liability for Clearing Accounts	(60)	-	(60)
Custodial Liability	648	-	648
Other Liabilities without Related Budgetary Obligations	52	25	77
Accrued Liabilities	58	-	58
Total Other Liabilities With the Public	\$ 12,264	\$ 3,710	\$ 15,974
Total Other Liabilities	\$ 38,347	\$ 4,111	\$ 42,458

A. Intragovernmental Other Liabilities

Due to the General Fund. Amounts due to the Treasury general fund primarily represent duties, taxes, and fees collected by CBP to be remitted to various general fund accounts maintained by Treasury.

Workers' Compensation. Claims incurred for the benefit of Department employees under FECA are administered by DOL and are ultimately paid by the Department. The accrued FECA liability represents money owed for current claims. Reimbursement to DOL for payments made occurs approximately two years subsequent to the actual disbursement. Budgetary resources for this intragovernmental liability are made available to the Department as part of its annual appropriation from Congress in the year in which the reimbursement takes



place. Workers' compensation expense was \$291 million for the fiscal year ended September 30, 2025.

B. Other Liabilities With the Public

Accrued Liabilities for Hermit's Peak/Calf Canyon Fire Assistance Claims. Congress enacted the *Hermit's Peak/Calf Canyon Fire Assistance Act* ("Act") as part of the *Continuing Appropriations and Ukraine Supplemental Appropriations Act, 2023*, (P.L. 117-180). Congress passed the Act to compensate those parties who suffered loss of property from the Hermit's Peak/Calf Canyon Fire ("Fire"). The Act appropriated an initial \$2,500 million in no-year money and requires FEMA to design and administer a claims program to compensate victims of the Fire for injuries resulting from the Fire to provide for the expeditious consideration and settlement for those claims and injuries. The Act further directs FEMA to establish an arbitration process for disputes regarding claims. On December 29, 2022, the *Consolidated Appropriations Act, 2023* (P.L. 117-328) provided an additional \$1,450 million of funding, and the *American Relief Act, 2025* (P.L. 118-158) provided an additional \$1,500 million of funding, totaling \$5,450 million for the Act's implementation. Claimants were required to file a Notice of Loss to FEMA by March 14, 2025. Claims can be reopened for a good cause through a date yet to be determined pursuant to 44 CFR 296.35. Any remaining tort actions or liabilities associated with the Fire would fall under the U.S. Forest Service's responsibility until further appropriations are made for FEMA to administer.

Accrued Liabilities for Grants and Cooperative Agreements. FEMA's disaster grant accrual is compiled of grants that focus on services such as life-saving emergency protective measures, fire management/control, restoring public infrastructure, and community support. FEMA also accrues a non-disaster liability for grants, which provide support for disaster preparedness, mitigation, and security.

Advances from Others and Deferred Revenue.

As of September 30 (\$ in millions)	2025
USCIS Application Fees	\$ 4,671
FEMA Unearned NFIP Fees	731
Advances from Others	265
Total Advances from Others and Deferred Revenue	\$ 5,667

USCIS's deferred revenue relates to fees received at the time of filing for applications or petitions for immigration and naturalization benefits that are recognized as revenue when the application or petition is adjudicated.

FEMA's deferred revenue relates to other NFIP unearned revenue including the federal policy fee, reserve fund assessment, and HFIAA surcharge. For further information, please see [Note 19](#), Insurance Liabilities.

Other Liabilities. Other public liabilities consist primarily of immigration bonds, deposit, and suspense fund liability.



18. Leases

A. Lessee Right-to-Use Leases

Lessee Right-to-Use Leases					
As of September 30, 2025 (\$ in millions):	Principal		Interest		Total
FY 2026	\$	113	\$	39	\$ 152
FY 2027		100		35	135
FY 2028		92		30	122
FY 2029		83		26	109
FY 2030		71		23	94
FY 2031 – FY 2035		248		78	326
FY 2036 – FY 2040		144		35	179
FY 2041 – FY 2045		76		8	84
FY 2046 – FY 2050		6		1	7
FY 2051 – FY 2055		1		-	1
Total Estimated Future Lease Payments	\$	934	\$	275	\$ 1,209

The Department leases various PP&E from the public known as RTU lease assets. Leased items consist of offices, warehouses, land, and equipment. At the commencement of the RTU lease term, DHS, as a lessee, recognizes a RTU lease asset and a lease liability. The liability is measured at the present value of the lease payments expected to be made during the lease term discounted by the relevant Treasury Certified Interest Rates at commencement of the lease term if the interest rate is not stated in the lease. Discount rates used to calculate the lease liabilities for FY 2025 are between 3.5-5%. The total calculated interest expense for FY 2025 RTU leases is approximately \$41 million.

DHS has employees occupying residences overseas through the Department of State housing pool and dedicated leases. These leases are brokered by the Department of State and are included in the RTU lease population. As of September 30, 2025, the total estimated future lease payments for the Department of State brokered leases are approximately \$181 million.

Variable payments based on future performance of the lessee or usage of the underlying asset are not included in the lease liability. The amount of variable lease expense for RTU leases recognized is immaterial for the reporting period as of September 30, 2025.

The RTU lease asset and accumulated amortization amounts disclosed in [Note 10](#), Plant, Property, and Equipment, have no direct correlation to the RTU liability amount disclosed in [Note 18](#), Leases. The direct correlation will exist only when the RTU asset and liability are first established, but over the course of the lease, the asset and liability amounts are amortized at different rates and therefore will not equal.

B. Intragovernmental Leases

As of September 30 (\$ in millions)	2025
Land and Buildings	\$ 1,812
Vehicles	92
Equipment	4
Total Intragovernmental Lease Expense	\$ 1,908

The Department leases land, buildings, vehicles, and equipment from other governmental agencies. The majority of these are buildings leased through GSA. Terms of agreements with GSA can range between one year and perpetuity.



19. Insurance Liabilities

As of September 30 (\$ in millions)	2025
Beginning Balance	\$ 5,645
Incurred Claim Losses	3,763
Incurred Claim Loss Adjustment Expenses	349
Less Payments to Settle Claims	
Claim Losses	(8,564)
Loss Adjustment Expenses	(569)
Recoveries and Other Adjustments	
Claim Losses	3
Ending Balance	<u>627</u>
Liability for Unearned Insurance Premiums	2,534
Liability for Losses on Remaining Coverage	349
Total Insurance Liability	<u>\$ 3,510</u>

Insurance liabilities consist of NFIP claim activity. This claim activity represents an estimate of NFIP loss and loss adjustment expense factors inherent in the NFIP insurance underwriting operations experience and expectations. Estimation factors used by the insurance underwriting operations reflect current case basis estimates and give effect to estimates of trends in claim severity and frequency. These estimates are periodically reviewed, and adjustments, reflected in current operations, are made as necessary.

Insurance liabilities are covered by a permanent and indefinite appropriation, which is available to pay all valid claims after adjudication. Accordingly, these insurance liabilities are covered by budgetary resources.

The total premiums collected as of September 30, 2025 were \$4,188 million. The total amount of coverage provided through insurance in-force as of September 30, 2025 was \$1,275,774 million.³

However, it is unlikely that there would be flooding events across the United States requiring the entire insurance in force amount to be filed at one time.

FEMA uses a risk rating methodology to estimate a premium deficiency reserve for the unearned portion of premiums, also known as a deficiency in the unearned premium reserve. In SFFAS No. 51, this deficiency is termed a liability for loss on remaining coverage. The reason for the unearned premium reserve deficiency is that policyholders with premium decreases will receive those decreases immediately, while those with premium increases will go up on a phased approach.

Insurance policies are subject to statutory caps on how much a premium can increase year over year (there are multiple caps for different classes of policies, but the most common is an 18% annual cap). The full ultimate premium is calculated to cover expected losses, and until policyholders on a glide path reach that full premium, there will be an expected shortage, i.e., the liability for losses on remaining coverage will be non-zero. The liability for losses on remaining coverage as of September 30, 2025 was \$349 million.

The amount recorded represents the full liability for losses on remaining coverage offset by two other sources of funds that can also be used to pay future claims. Those additional funds are the unearned Reserve Fund Assessment and the unearned HFIAA of 2014 surcharge.

³ "In-force" refers to arrangements that are unexpired as of a given date.



20. Commitments and Contingent Liabilities

A. Legal and Environmental Contingencies

The Department is a party in various administrative proceedings, legal actions, and tort claims that may ultimately result in settlements or decisions adverse to the Federal Government. These contingent liabilities arise in the normal course of operations, and their ultimate disposition is unknown.

In the opinion of the Department's management and legal counsel, based on information currently available, the expected outcome of legal actions, individually or in the aggregate, are summarized in the categories below (in millions):

As of September 30, 2025 (\$ in millions):	Accrued Liabilities	Estimated Range of Loss	
		Lower End	Upper End
Legal Contingencies			
Probable	\$ 314	\$ 314	\$ 404
Reasonably Possible	-	1,307	2,794
Environmental Contingencies			
Probable	47	47	47
Reasonably Possible	-	-	-

The legal contingencies above generally relate to the *Federal Tort Claims Act of 1946* (P.L. 79-601), personnel grievances, and various customs laws and regulations. The environmental contingencies above relate to the OSLTF and the *Comprehensive Environmental Response, Compensation and Liability Act of 1980*. The total estimated contingent liability recorded in the accompanying financial statements as of September 30, 2025 was \$361 million, of which \$13 million was funded.

As of September 30, 2025, legal claims exist for which the potential range of loss could not be determined; however, the total amount claimed is not material to the financial statements. In addition, other claims exist for which the amount claimed, and the potential range of loss could not be determined.

Certain legal claims to which DHS is a party are funded from the Judgment Fund, which is maintained by Treasury. Once the claim is either settled or a court judgment is assessed against DHS and the Judgment Fund is determined to be the appropriate source for the payment, the liability would be removed from the DHS financial statements and an "other financing source" amount (which represents the amount to be paid by the Judgment Fund) would be recognized. If the Judgment Fund is responsible for only a portion of the claim or settlement, the other financing source amount would reflect only that amount to be paid by the Judgment Fund on behalf of DHS.

B. Duty and Trade Refunds

There are various trade-related matters that fall under the jurisdiction of other federal agencies, such as the Department of Commerce, which may result in refunds of duties, taxes, and fees from CBP refunds and drawbacks. Until a decision is reached by the other federal agencies, CBP does not have sufficient information to estimate a contingent liability amount. All known duty and trade refunds as of September 30, 2025 have been recorded.

C. Loaned Aircraft and Equipment

The Department is generally liable to DoD for damage or loss to aircraft on loan to CBP and vessels on loan to the USCG. As of September 30, 2025, CBP had 16



aircrafts on loan from DoD with a total replacement value of up to \$23 million per aircraft. As of September 30, 2025, USCG had 2 vessels on loan from DoD with a total replacement value of \$24 million.

D. Other Contractual Arrangements

In addition to future lease commitments disclosed in [Note 18](#), Leases, the Department is committed under contractual agreements for goods and services that have been ordered but not yet received (undelivered orders) at fiscal year-end. Aggregate undelivered orders for all Department activities are disclosed in [Note 25](#), Undelivered Orders, End of Period. In accordance with federal law, the Department is required to automatically cancel obligated and unobligated balances of appropriated funds five years after a fund expires. Obligations that have not been paid at the time an appropriation is cancelled may be paid from an unexpired appropriation that is available for the same general purpose. As of September 30, 2025, the Department estimates total payments related to cancelled appropriations to be \$471 million, of which \$271 million may require future funding.

Under section 1604(b)(2) of the *Implementing Recommendations of the 9/11 Commission Act of 2007* (P.L. 110-53), TSA is required to give funding consideration to airports that incurred eligible costs for in-line baggage screening systems but were not recipients of funding agreements. TSA began reviewing claims from at least 16 airports for reimbursement of costs incurred for in-line baggage systems installed prior to FY 2008 and identified up to \$218 million of potential costs eligible for reimbursement. Beginning in FY 2018, Congress has included Enacted Appropriations for funding for Airport Reimbursement. In FY 2025, Congress did not appropriate funds. In FY 2025, a future funded liability was at \$14 million for reimbursing airports for eligible costs.

21. Funds from Dedicated Collections

SFFAS No. 27, *Identifying and Reporting Earmarked Funds*, as amended by SFFAS No. 43, *Funds from Dedicated Collections: Amending Statement of Federal Financial Accounting Standards 27*, defines the following three criteria for determining a fund from dedicated collections: 1) a statute committing the Federal Government to use specifically identified revenue and/or other financing sources that are originally provided to the Federal Government by a non-federal source only for designated activities, benefits, or purposes; 2) explicit authority for the fund to retain revenue and/or other financing sources not used in the current period for future use to finance the designated activities, benefits, or purposes; and 3) a requirement to account for and report on the receipt, use, and retention of the revenue and/or other financing sources that distinguished the fund from the Federal Government's general revenue.

An FFDC may contain non-federal sources of revenue and other financing sources that are material to the reporting entity provided it meets the criteria reported above.

Intradepartmental activity reported in an FFDC is often offset with activity in other funds. Accordingly, the Department presents information for FFDC and all other funds in the Balance Sheet and Statement of Changes in Net Position on a consolidated basis. Each fund is reported on a combined basis with the elimination of intradepartmental activity between dedicated collections and all other funds as presented in the Statement of Changes of Net Position.

FFDC are reflected on the next page:



Funds from Dedicated Collections (\$ in millions)

	Customs User Fees	SFRBTF	IEF	NFIP	OSLTF	Aviation Security Capital Fund	All Other FFDC	Combined FFDC	Eliminations between FFDC	Consolidated FFDC
Balance Sheet as of September 30, 2025										
Assets										
Intragovernmental Assets:										
Fund Balance with Treasury	\$ 1,493	\$ 41	\$ 6,492	\$ 6,309	\$ 26	\$ 933	\$ 2,388	\$ 17,682	\$ -	\$ 17,682
Investments, Net	-	2,577	-	-	10,486	-	1	13,064	-	13,064
Accounts Receivable, Net	-	115	-	-	116	-	4	235	120	115
Advances and Prepayments	-	-	45	1	2	-	10	58	-	58
Total Intragovernmental Assets	\$ 1,493	2,733	6,537	6,310	10,630	933	2,403	31,039	120	30,919
With the Public:										
Cash and Other Monetary Assets	-	-	58	25	-	-	1	84	-	84
Accounts Receivable, Net	539	-	-	1	650	-	140	1,330	-	1,330
Property, Plant, and Equipment, Net	-	-	1,247	-	-	860	19	2,126	-	2,126
Advances and Prepayments	-	-	47	695	-	-	5	747	-	747
Total With the Public	\$ 539	\$ -	\$ 1,352	\$ 721	\$ 650	\$ 860	\$ 165	\$ 4,287	\$ -	\$ 4,287
Total Assets	\$ 2,032	\$ 2,733	\$ 7,889	\$ 7,031	\$ 11,280	\$ 1,793	\$ 2,568	\$ 35,326	\$ 120	\$ 35,206
Liabilities										
Intragovernmental Liabilities:										
Accounts Payable	\$ -	\$ 1,740	\$ 29	\$ -	\$ 115	\$ -	\$ 8	\$ 1,892	\$ 116	\$ 1,776
Debt	-	-	-	22,525	-	-	-	22,525	-	22,525
Other Liabilities	13	-	30	1	-	-	34	78	4	74
Total Intragovernmental Liabilities	\$ 13	\$ 1,740	\$ 59	\$ 22,526	\$ 115	\$ -	\$ 42	\$ 24,495	\$ 120	\$ 24,375
With the Public:										
Accounts Payable	-	7	113	104	7	136	54	421	-	421
Federal Employee Salary, Leave, and Benefits Payable	-	1	355	10	1	-	8	375	-	375
Pension, Post-Employment, and Veterans Benefits Payable	-	-	50	-	-	-	-	50	-	50
Insurance and Guarantee Program Liabilities	-	-	-	3,510	-	-	-	3,510	-	3,510
Advances from Others and Deferred Revenue	-	-	4,671	731	-	-	9	5,411	-	5,411
Other Liabilities	-	-	65	(38)	-	42	-	69	-	69
Total With Public	\$ -	\$ 8	\$ 5,254	\$ 4,317	\$ 8	\$ 178	\$ 71	\$ 9,836	\$ -	\$ 9,836
Total Liabilities	\$ 13	\$ 1,748	\$ 5,313	\$ 26,843	\$ 123	\$ 178	\$ 113	\$ 34,331	\$ 120	\$ 34,211

(table continued on next page)



Funds from Dedicated Collections (\$ in millions)

(table continued from prior page)

	Customs User Fees	SFRBTF	IEF	NFIP	OSLTF	Aviation Security Capital Fund	All Other FFDC	Combined FFDC	Eliminations between FFDC	Consolidated FFDC
Net Position as of September 30, 2025										
Unexpended Appropriations	\$ -	\$ -	\$ 193	\$ 2,761	\$ -	\$ -	\$ -	\$ 2,954	\$ -	\$ 2,954
Cumulative Results of Operations	2,019	985	2,383	(22,573)	11,157	1,615	2,455	(1,959)	-	(1,959)
Total Liabilities and Net Position	\$ 2,032	\$ 2,733	\$ 7,889	\$ 7,031	\$ 11,280	\$ 1,793	\$ 2,568	\$ 35,326	\$ 120	\$ 35,206

Statement of Net Cost for the Year Ended September 30, 2025

Gross Program Costs	\$ 909	\$ 123	\$ 6,388	\$ 6,891	\$ 93	\$ 320	\$ 1,804	\$ 16,528	\$ 2	\$ 16,526
Less: Earned Revenue	-	-	(6,786)	(5,196)	(65)	(250)	(916)	(13,213)	(2)	(13,211)
Net Cost of Operations	\$ 909	\$ 123	\$ (398)	\$ 1,695	\$ 28	\$ 70	\$ 888	\$ 3,315	\$ -	\$ 3,315

Statement of Changes in Net Position for the Year Ended September 30, 2025

Unexpended Appropriations

Beginning Balance	\$ -	\$ -	\$ 193	\$ 2,089	\$ -	\$ -	\$ -	\$ 2,282	\$ -	\$ 2,282
Appropriations Received	-	-	-	700	-	-	-	700	-	700
Appropriations Transferred In/(Out)	-	-	-	(2)	-	-	-	(2)	-	(2)
Appropriations Used	-	-	-	(26)	-	-	-	(26)	-	(26)
Total Unexpended Appropriations	\$ -	\$ -	\$ 193	\$ 2,761	\$ -	\$ -	\$ -	\$ 2,954	\$ -	\$ 2,954

Cumulative Results of Operations

Beginning Balance	\$ 1,635	\$ 954	\$ 1,358	\$ (20,915)	\$ 10,588	\$ 1,595	\$ 2,183	\$ (2,602)	\$ -	\$ (2,602)
Appropriations Used	-	-	-	26	-	-	-	26	-	26
Other than Intra-governmental Non-Exchange Revenue										
Excise Tax and Customs	-	520	-	-	-	-	-	520	-	520
Miscellaneous Taxes and Receipts	1,318	-	-	1	3	-	595	1,917	-	1,917
Total Other than Intragovernmental Non-Exchange Revenue	1,318	520	-	1	3	-	595	2,437	-	2,437

(table continued on next page)



Funds from Dedicated Collections (\$ in millions)

(table continued from prior page)

	Customs User Fees	SFRBTF	IEF	NFIP	OSLTF	Aviation Security Capital Fund	All Other FFDC	Combined FFDC	Eliminations between FFDC	Consolidated FFDC
Statement of Changes in Net Position for the Year Ended September 30, 2025 (continued)										
Intragovernmental Non-exchange Revenue	-	246	-	-	711	-	-	957	-	957
Donations and Forfeitures of Cash and Property	-	-	-	-	-	43	6	49	-	49
Transfers In/(Out) without Reimbursement	(3,382)	(612)	(4)	-	(117)	47	(495)	(4,563)	-	(4,563)
Imputed Financing	-	-	631	10	-	-	5	646	-	646
Other	3,357	-	-	-	-	-	1,049	4,406	-	4,406
Net Cost of Operations	(909)	(123)	398	(1,695)	(28)	(70)	(888)	(3,315)	-	(3,315)
Net Change in Cumulative Results of Operations	384	31	1,025	(1,658)	569	20	272	643	-	643
Total Cumulative Results of Operations	2,019	985	2,383	(22,573)	11,157	1,615	2,455	(1,959)	-	(1,959)
Net Position, End of Period	\$ 2,019	\$ 985	\$ 2,576	\$ (19,812)	\$ 11,157	\$ 1,615	\$ 2,455	\$ 955	\$ -	\$ 955



Customs User Fees

Enacted in 1986, the *Consolidated Omnibus Budget Reconciliation Act* (COBRA) (P.L. 99-272) requires CBP to collect user fees for certain customs services. These fees are codified in 19 U.S.C. §58c. The law initially established customs processing fees for air and sea passengers, commercial trucks, rail cars, private vessels and aircraft, commercial vessels, dutiable mail, and customs broker permits. Later laws established fees for the arrival of barges or other bulk carriers from Canada and Mexico, the processing of merchandise, and the provision of dedicated services in express consignment carrier and centralized hub facilities.

While most COBRA customs fees are mandatory (with permanent authorization to use the fees), some fees, are discretionary and must be authorized through annual appropriations acts. This distinction can impact how and when the fees are available to CBP.

In accordance with Section 8002 of the *Synthetics Trafficking and Overdose Prevention Act of 2018* (P.L. 115-271), the USPS collects fees for inbound Express Mail Service items processed through international mail facilities and deposits 50% into the Customs User Fee Account.

The following Treasury Appropriation Fund Symbol (TAFS) are for Customs User Fees: TAFS 705695.30 and TAFS 70X5695.

Sport Fish Restoration and Boating Trust Fund

Section 1016 of the *Deficit Reduction Act of 1984* (P.L. 98-369) established the Aquatic Resources Trust Fund, which was composed of two accounts, the Boating Safety Account and the Sport Fish Restoration Account. In 2005, they were combined to become the SFRBTF.

The SFRBTF is a Treasury-managed fund and provides funding to states and other entities to promote boating safety and conservation of U.S. recreational waters. The most recent reauthorization was in 2021. The fund receives revenue transferred from custodial activities of the Treasury, which is deposited in a Treasury account. The revenue is derived from a number of sources, including motorboat fuel taxes, excise taxes on sport fishing equipment, and import duties on fishing tackle and yachts. Three agencies share in the available portion of the revenue: Fish and Wildlife Service in the Department of Interior (TAFS 14X8151); the U.S. Army Corps of Engineers (TAFS 96X8333); and the USCG (TAFS 70X8149 and TAFS 70X8147).

Immigration Examination Fees

In 1988, Congress established the Immigration Examination Fee Account (IEFA), and the fees deposited into the IEFA have been the primary source of funding for providing immigration and naturalization benefits and other benefits as directed by Congress. IEFA is authorized via Sections 286(m), (n), (t), and (u) of the INA (8 U.S.C. §1356(m), (n), (u)). In addition, Section 286(u) of the INA, 8 U.S.C. §1356(u), provides the Secretary with authority to establish and collect a premium fee for the premium processing of certain immigration benefit types and provides for the collection of fees at a level that will ensure recovery of the costs of providing adjudication and naturalization services, including the costs of providing similar services without charge to asylum applicants and other immigrants. The INA also states that the fees may recover administrative costs.

Enacted on September 30, 2021, the *Extending Government Funding and Delivering Emergency Assistance Act* (P.L. 117-43), Division C Title V, also known as *Afghanistan Supplemental Appropriations Act, 2022*, appropriated \$193 million to remain available until expended, for expenses in support of Operation Allies



Welcome (OAW). These appropriated funds are reported with FFDC. In January 2025, the President of the United States issued an Executive Order 14165, *Securing Our Borders*, that terminated categorical parole under the OAW. Use of OAW funds is still authorized to process affirmative asylum applicants.

The primary sources of revenue are the application and petition fees that are collected during the course of the fiscal year and deposited into the IEFA (TAFS 70X5088). In addition, USCIS provides specific services to other federal, state, and local agencies, such as the provision of immigration status information under the SAVE program for use in adjudicating aliens' eligibility for public benefits. These services result in the collection of revenue from intragovernmental activities.

National Flood Insurance Program

The NFIP was established by the *National Flood Insurance Act of 1968*. The purpose of NFIP is to better indemnify individuals for flood losses through insurance, reduce future flood damages through state and community floodplain management regulations, and reduce federal expenditures for disaster assistance and flood control.

The *Full-Year Continuing Appropriations and Extensions Act, 2025* (P.L. 119-4) Division A Title VII enacted on March 15, 2025, continues to extend the NFIP as is through September 30, 2025.

Under the NFIP, the Department pays claims to policyholders who experience flood damage. The WYO companies that participate in the program have authority to use departmental funds (revenue and other financing sources) to respond to the obligations to the policyholders. Congress has mandated that the premium collections be used to pay claims and commissions and taxes of agents, insurance operations, interest on the debt, and for flood mitigation assistance actions. The NFIP requires all partners (WYO companies) in the program to submit financial statements and statistical data to the third-party service providers on a monthly basis. This information is reconciled, and the WYO companies are required to correct any variances.

The NFIP's primary source of revenue comes from premiums collected to insure policyholders' property. These resources are inflows to the Government, not intragovernmental resources. When claims exceed revenue, FEMA has borrowing authority that can be accessed to satisfy outstanding claims. The following TAFS are part of the NFIP: TAFS 70X4236 and TAFS 70X5701.

Oil Spill Liability Trust Fund

The OSLTF was originally established under section 9509 of the Internal Revenue Code of 1986. The *Oil Pollution Act of 1990* (OPA) (P.L. 101-380) authorized the use of the money and the collection of revenue necessary for its maintenance.

OPA defined fund uses include removal costs incurred by USCG, the Environmental Protection Agency, and state access for removal activities; payments to federal, state, and Indian tribe trustees to conduct natural resource damage assessments and restorations; payment of claims for uncompensated removal costs and damages; costs and expenses reasonably necessary for the implementation of OPA (subject to congressional appropriations); and other specific appropriations by Congress.

The OSLTF includes two major funds: the Principal Fund (TAFS 70X8185) and the Payment of Claims (TAFS 70X8312). All revenue is deposited directly into the Principal Fund. The recurring and nonrecurring revenue is derived from a number of sources, including barrel tax, interest from U.S. Treasury investments, cost recoveries, and fines and penalties. Additionally, two expenditure accounts are



managed by USCG. These include Oil Spill Emergency Fund (TAFS 70X8349) and Trust Fund Share of Expenses (TAFS 70X_8314). Oil Spill Emergency funds the activities overseen by federal on-scene coordinators in response to covered discharges and the activities of federal trustees to initiate natural resource damage assessments. This account receives an annual \$50 million apportionment from the Principal Fund, which remains available until expended. Trust Fund Share of Expenses receives annual appropriations from the OSLTF that are then distributed to USCG Operations and Support; Procurement, Construction and Improvement; and Research and Development appropriations. By statute, the maximum amount that can be expended from the OSLTF with respect to any single incident shall not exceed \$1,000 million, of which no more than \$500 million may be spent on natural resource damage assessments. The maximum amount expended with respect to a single incident is net of amounts expended and amounts recovered.

Contingent Liabilities. The OSLTF, which is administered by the USCG National Pollution Funds Center, may be available to pay claims for OPA specified costs and damages, not paid by the responsible party. Under OPA, claimants are required to present their claims first to the responsible parties; if the responsible party is not identified or denies the claims, the claimant may then file an action in court or file a claim against the OSLTF through the National Pollution Funds Center. For additional information, see [Note 20](#), Commitments and Contingent Liabilities.

Aviation Security Capital Fund

In 2003, *Vision 100—Century of Aviation Reauthorization Act* (P.L. 108-176) established the Aviation Security Capital Fund (TAFS 70X5385 and 70C5385), codified at 49 U.S.C. §44923(h)(1). The fund's revenue is derived from security service fees in accordance with 49 U.S.C. §44940(a)(1). Annually, the first \$250 million derived from Aviation Security fees are deposited into this fund. TSA provides funding to airport sponsors for projects to (1) replace baggage conveyor systems related to aviation security, (2) reconfigure terminal baggage areas as needed to install explosive detection systems, (3) deploy explosive detection systems behind the ticket counter, in the baggage sorting area, or in line with the baggage handling system, and (4) make other airport security capital improvements.

All Other Funds from Dedicated Collections

The balances and activity reported for all other FFDC result from the funds listed below. Information related to these funds can be located in the Department's appropriations legislation or the statutes referenced.

CBP

- 70X4363: Enhanced Inspectional Services; 127 Stat. 378
- 70_5087: Immigration User Fees; 116 Stat. 2135
- 70X5087: Immigration User Fees; 116 Stat. 2135
- 70X5089: Land Border Inspection Fees; 116 Stat. 2135
- 70X5451: Immigration Enforcement Account; 116 Stat. 2135
- 70X5543: International Registered Traveler Program Fund; 121 Stat. 2091-2092
- 70X5569: Asia-Pacific Economic Cooperation Business Travel Cards; 125 Stat. 551
- 70X5595: Electronic System for Travel Authorization (ESTA) Fees; P.L. 110-53, 121 Stat. 344; P.L. 111-145, 124 Stat. 56
- 70_5694: User Fees, Small Airports; 116 Stat. 2135
- 70X5694: User Fees, Small Airports; 116 Stat. 2135



- 70X5702: 9-11 Response and Biometric Exit Account; P.L. 114-113, Sec. 402(g)
- 70X8870: Harbor Maintenance Fee Collection; 116 Stat. 2135

USCG

- 70_5677: Abandoned Seafarers Fund; 128 Stat. 3051
- 70X5677: Abandoned Seafarers Fund; 128 Stat. 3051
- 70_5710: Coast Guard Housing Fund; 14 U.S.C. §687(c)
- 70X5710: Coast Guard Housing Fund; 14 U.S.C. §687(c)
- 70X8533: General Gift Fund; 116 Stat. 2135

USCIS

- 70X5651: Citizenship Gift and Bequest Account; P.L. 115-31
- 70_5106: H-1 B Nonimmigrant Petitioner Account; 116 Stat. 2135
- 70X5106: H-1 B Nonimmigrant Petitioner Account; 116 Stat. 2135
- 70_5389: H-1 B and L Fraud Prevention and Detection Account; 118 Stat. 3357, Sec. 426(b)(1)
- 70X5389: H-1 B and L Fraud Prevention and Detection Account; 118 Stat. 3357, Sec. 426(b)(1)
- 70X5705: EB-5 Integrity Fund; 136 Stat. 1090
- 70X6211: Public Charge Bonds; 8 U.S.C. §1183

FEMA

- 70X0715: Radiological Emergency Preparedness Program; 117 Stat. 516

FLETC

- 70X8360: Gifts and Bequests; 116 Stat. 2135

ICE

- 70X5126: Breach Bond/Detention Fund; 116 Stat. 2135
- 70X5378: Student and Exchange Visitor Program; 110 Stat. 3009-706, Sec. (e)(4)(B)
- 70X5382: Immigration User Fee Account; 116 Stat. 2135
- 70X5542: Detention and Removal Operations; 8 U.S.C. §1356(m)-(n); P.L. 107-296, Sec. 476c

TSA

- 70X5390: Unclaimed Checkpoint Money; 118 Stat. 1317-1318, Sec. 515(a)
- 70X5545: Airport Checkpoint Screening Fund; P.L. 110-161

Multiple Components

- 70X8244: Gifts and Donations; 116 Stat. 2135





22. Available Borrowing Authority

For the Year Ended September 30 (\$ in millions)	2025
Beginning Borrowing Authority	\$ 12
Current Year Borrowing Authority Realized	9,911
Decrease in Current Year Borrowing Authority Realized	(7,409)
Net Current Year Borrowing Authority Realized	2,502
Less: Borrowing Authority Converted to Cash	(2,006)
Less: Borrowing Authority Withdrawn	(2)
Ending Borrowing Authority	\$ 506

FEMA has borrowing authority to pay insurance claims as part of the NFIP and to finance CDLPs under DADLP. Borrowing authority is budget authority enacted by law to permit an agency to borrow money and then obligate and disburse against amounts borrowed for a specified purpose. As of September 30, 2025, net current year borrowing authority realized presented in the Statement of Budgetary Resources totaled \$2,502 million.

FEMA is authorized to borrow from Treasury up to \$30,425 million to fund the payment of flood insurance claims and claims-related expenses of the NFIP. Amounts borrowed at any time are not predetermined, and authority is used only as needed to pay existing obligations for claims and expenses. Insurance premiums collected are used to pay insurance claims and to repay borrowings. As of September 30, 2025, FEMA had drawn from Treasury \$22,525 million, leaving \$7,900 million available to be borrowed.

FEMA also requests borrowing authority annually to cover the unsubsidized portion of loans made, finance downward re-estimates, modifications, modification adjustment transfers, and annual interest payment to Treasury at year-end. In FY 2025, FEMA requested borrowing totaling \$11 million. As of September 30, 2025, the ending available borrowing authority of \$6 million was to cover current obligations for CDLPs still disbursing.

23. Legal Arrangements Affecting the Use of Unobligated Balances

Unobligated balances whose period of availability has expired are not available to fund new obligations. Expired unobligated balances are available to pay for current period adjustments to obligations incurred prior to expiration.

For a fixed appropriation account, the balance can be carried forward for five fiscal years after the period of availability ends. At the end of the fifth fiscal year, the account is closed, and any remaining balance is canceled and returned to Treasury. For a no-year account, the unobligated balance is carried forward indefinitely until specifically rescinded by law or the head of the agency concerned, or the President determines that the purposes for which the appropriation was made have been carried out and disbursements have not been made against the appropriation for two consecutive years.

Included in the Cumulative Results of Operations and Fund Balance with Treasury are special funds of \$5,067 million at September 30, 2025, that represents the Department's authority to assess and collect user fees relating to merchandise and passenger processing; to assess and collect fees associated with services performed at certain small airports or other facilities; to retain amounts needed to offset costs associated with collecting duties; and taxes and fees for the Government of Puerto Rico. These special fund balances are restricted by law in their use to offset specific costs incurred by the Department. Part of the COBRA



User Fees Account are restricted by law in their use to offset specific costs incurred by the Department. See [Note 21](#), Funds from Dedicated Collections, for more information.

The entity trust fund balances result from the Department's authority to use the proceeds from general order items sold at auction to offset specific costs incurred by the Department relating to their sale, to use available funds in the Salaries and Expense Trust Fund to offset specific costs for expanding border and port enforcement activities, and to use available funds from the Harbor Maintenance Fee Trust Fund to offset administrative expenses related to the collection of the Harbor Maintenance Fee.

24. Explanation of Differences between the Statement of Budgetary Resources and the Budget of the U.S. Government

The table below documents the material differences between the FY 2024 Statement of Budgetary Resources and the actual amounts reported for FY 2024 in the Budget of the U.S. Government. Since the FY 2025 financial statements will be reported prior to the release of the Budget of the U.S. Government, DHS is reporting for FY 2024 only. Typically, the Budget of the U.S. Government with the FY 2025 actual data is published in February of the subsequent year. Once published, the FY 2025 actual data will be available on the OMB website.

	Budgetary Resources	New Obligations and Upward Adjustments	Distributed Offsetting Receipts	Net Outlays
FY 2024 Actual Balances per the FY 2026 Budget of the U.S. Government (\$ in millions)	\$ 166,322	\$ 133,837	\$ 15,940	\$ 105,229
Reconciling Items:				
Accounts that are expired that are not included in Budget of the U.S. Government	3,072	-	-	-
Distributed Offsetting Receipts not included in the Budget of the U.S. Government Net Outlays	-	-	-	(15,940)
Refunds and drawbacks not included in the Budget of the U.S. Government	6,903	6,903	-	6,735
Byrd Program (Continued Dumping and Subsidy Offset) not included in the Budget of the U.S. Government	142	18	-	18
Miscellaneous Differences	937	(382)	-	107
Per the 2024 Statement of Budgetary Resources	\$ 177,376	\$ 140,376	\$ 15,940	\$ 96,149

The Miscellaneous Differences amount includes adjustments to obligations reported on the Statement of Budgetary Resources but not included in the Budget of the U.S. Government. The Statement of Budgetary Resources Net Outlays also includes the Statement of Budgetary Resources line Disbursement, net amounts.



25. Undelivered Orders, End of Period

An unpaid undelivered order exists when a valid obligation has occurred, and funds have been reserved but the goods or services have not been received by the Department. A paid undelivered order exists when a valid obligation has occurred, and funds have been advanced, but the goods or services have not been received by the Department.

As of September 30, 2025 (\$ in millions):					
	Federal		Non-Federal		Total
Undelivered Orders - Unpaid	\$	11,786	\$	108,789	\$ 120,575
Undelivered Orders - Paid	\$	685	\$	1,836	\$ 2,521

26. Net Adjustments to Unobligated Balance, Brought Forward, October 1

For the Year Ended September 30 (\$ in millions)		2025
Unobligated Balance, Prior Year	\$	37,000
Other Balances Withdrawn from Treasury		(1,203)
Recoveries of Prior Year Obligations		12,704
Other		200
Unobligated Balance from Prior Year Budget Authority, Net	\$	48,701

27. Custodial Revenue

Revenue collections primarily result from current fiscal year activity. Taxes, Duties, Trade Receivables, Net are collected within 90 days of the assessment. Therefore, the Department considers Tax Year to be same as the fiscal year when assessments are made. CBP's mission requires the collection of non-exchange and exchange revenue for interest and Agricultural Quarantine Inspection fees collected on behalf of the U.S. Department of Agriculture. For additional information, see [Note 1.Y](#), Revenue and Financing Sources - Exchange and Non-Exchange Revenue.

The significant types of non-entity accounts receivable and custodial revenue as presented in the Statement of Custodial Activity are described below.

- **Duties:** Amounts collected on imported goods collected on behalf of the Federal Government.
- **User fees:** Amounts designed to maintain U.S. harbors and to defray the cost of other miscellaneous service programs.
- **Excise taxes:** Amounts collected on imported distilled spirits, wines, tobacco products, and other miscellaneous taxes collected on the behalf of the Federal Government.
- **Fines and penalties:** Amounts collected for violations of laws and regulations.

Custodial revenue collected from the public, broken out by revenue type and by tax year, were as follows:

For the Fiscal Year Ended September 30, 2025 (\$ in millions):	Tax Year		
	2025	2024 and Prior Years	Total Collections
Excise Tax	\$ 4,971	\$ 242	\$ 5,213
Customs Duties	194,443	6,564	201,007
User Fees, Fines, and Penalties, Interest, and Other Revenue	2,693	130	2,823
Total Amount of Federal Revenue Collected	\$ 202,107	\$ 6,936	\$ 209,043



Refunds are amounts due to the importer/exporter as a result of overpayments of duties, taxes, fees, and interest. Refunds include drawback remittance paid when imported merchandise, for which duty was previously paid, is exported from the United States. Disbursements from the refunds and drawbacks account, broken out by revenue type and by tax year, are reflected in the table on the following page.

For the Fiscal Year Ended September 30, 2025 (\$ in millions):	Tax Year				
	2025	2024	2023	Prior Years	Total Refunds
Customs Duties	\$ 2,152	\$ 2,004	\$ 1,436	\$ 2,229	\$ 7,821
Excise Tax	407	379	272	422	1,480
Fines, Penalties, Interest, and Other Revenue	9	8	6	9	32
Total Tax Refunds and Drawbacks Disbursed	\$ 2,568	\$ 2,391	\$ 1,714	\$ 2,660	\$ 9,333

The disbursements include interest payments of \$264 million for the fiscal year ended September 30, 2025.

The disbursement totals for refunds include antidumping and countervailing duties collected that are refunded pursuant to rulings by the Department of Commerce. These duties are refunded when the Department of Commerce issues a decision in favor of the foreign industry. See [Note 17](#), Other Liabilities, and [Note 20](#), Commitments and Contingent Liabilities, Section B. Duty and Trade Revenue, for more information.

Significant increase in duties collected in FY 2025, in comparison to the prior year, is largely attributed to deposits of duties that were imposed pursuant to Executive Orders of the President issued under the *International Emergency Economic Powers Act of 1977* (P.L. 95-223) and Section 232 of the *Trade Expansion Act of 1962* (P.L. 87-794). The authority to collect those duties is currently the subject of ongoing litigation, which is pending before the Supreme Court.

28. Reconciliation of Net Cost to Net Outlays

The Reconciliation of Net Cost to Net Outlays reconciles the proprietary basis of accounting Net Cost of Operations (as reported in the Consolidated Statement of Net Cost) to budgetary basis accounting Agency Outlays, Net (as reported on the Combined Statement of Budgetary Resources). Propriety accounting is intended to provide a picture of the government's financial operations and financial position, so it presents information on an accrual basis. The accrual basis includes information about costs arising from the consumption of assets and the incurrence of liabilities, whereas budgetary accounting is used for planning and control purposes and relates to both the receipt and use of cash.

The reconciliation in the table that begins on the following page begins with the net cost of operations and is adjusted by the following three sections to reconcile to net outlays: (1) components of net operating cost that are not part of the budgetary outlays (such as depreciation and amortization expense of previously acquired capitalized assets, and changes in assets/liabilities); (2) components of the budgetary outlays that are not part of net operating cost (such as acquisition of capital assets and inventory); and (3) miscellaneous items (such as distributed offsetting receipts and custodial revenues).



As of September 30, 2025

(\$ in millions):

	Intra- governmental	With the Public	Total
Net Cost of Operations	\$ 28,287	\$ 95,361	\$ 123,648
Components of Net Operating Cost Not Part of the Budgetary Outlays			
Property, Plant, and Equipment Depreciation Expense and Lessee Lease Amortization	-	(3,022)	(3,022)
Property, Plant, and Equipment Disposals and Revaluations	-	(907)	(907)
Gains/Losses on Lease Cancellations and Gains on Changes from Lease Modifications	-	(33)	(33)
Cost of Goods Sold and Inventory Disposals and Revaluations	(52)	(315)	(367)
Increase/(Decrease) in Assets Not Affecting Budgetary Outlays:			
Accounts Receivable, Net	68	75	143
Other Assets	(393)	784	391
(Increase)/Decrease in Liabilities Not Affecting Budget Outlays:			
Accounts Payable	59	(326)	(267)
Lessee Lease Liability	-	(85)	(85)
Insurance and Guarantee Program Liabilities	-	5,012	5,012
Environmental and Disposal Liabilities	-	94	94
Federal Employee Salary, Leave, and Benefits Payable	-	(251)	(251)
Pensions, Other Post-Employment, and Veterans Benefits Payable	-	(1,067)	(1,067)
Other Liabilities (Unfunded Leave, Accrued FECA, Actuarial FECA)	(421)	1,163	742
Other Financing Sources:			
Imputed Costs	\$ (4,557)	\$ -	\$ (4,557)
Total Components of Net Operating Cost Not Part of the Budget Outlays	\$ (5,296)	\$ 1,122	\$ (4,174)
Components of the Budget Outlays That Are Not Part of Net Operating Cost:			
Acquisition of Capital Assets and Applied Overhead/Cost Capitalization Offset	\$ -	\$ 3,187	\$ 3,187
Acquisition of Inventory	304	443	747
Financing Sources:			
Donated Revenue	\$ -	\$ (6)	\$ (6)
Transfers Out/(In) Without Reimbursements	(127)	-	(127)
Total Components of the Budget Outlays That Are Not Part of the Net Operating Costs	\$ 177	\$ 3,624	\$ 3,801
Miscellaneous Items:			
Distributed Offsetting Receipts	\$ -	\$ (6,552)	\$ (6,552)
Recognition of Right-to-Use Lease Assets	-	190	190
Custodial/Non-Exchange Revenue	9,632	(3,895)	5,737
Non-Entity Activity	21	-	21
Other Temporary Timing Differences	63	70	133
Total Miscellaneous Items	\$ 9,716	\$ (10,187)	\$ (471)
Total Net Outlays	\$ 32,884	\$ 89,920	\$ 122,804



29. Reclassification of Statement of Net Cost and Statement of Changes in Net Position for Financial Reporting Compilation Process

To prepare the *Financial Report of the U.S. Government (Financial Report)*, the Department of the Treasury requires agencies to submit an adjusted trial balance, which is a listing of amounts by USSGL account that appear in the financial statements. Treasury uses the trial balance information reported in the Government-wide Treasury Account Symbol Adjusted Trial Balance System to develop a Reclassified Statement of Net Cost and a Reclassified Statement of Changes in Net Position. Treasury eliminates intragovernmental balances from the reclassified statements and aggregates lines with the same title to develop the *Financial Report* statements. This note shows the Department's financial statements and the Department's reclassified statements prior to elimination of intragovernmental balances and prior to aggregation of repeated *Financial Report* line items. A copy of the 2024 *Financial Report* can be found at the Reports, Statements, and Publications page within the Bureau of Fiscal Service website and a copy of the 2025 *Financial Report* will be posted to this site as soon as it is released.

The term "intragovernmental" is used in this note to refer to amounts that result from other components of the Federal Government.

The term "non-federal" is used in this note to refer to Federal Government amounts that result from transactions with non-federal entities. These include transactions with individuals, businesses, non-profit entities, and state, local, and foreign governments.



**Reclassification of Statement of Net Cost to Line Items Used for the Government-wide
Statement of Net Cost for the Year Ending September 30, 2025 (\$ in millions)**

FY 2025 DHS SNC		Line Items Used to Prepare FY 2025 Government-wide SNC					
Financial Statement Line	Amounts	Dedicated Collections Combined	Dedicated Collections Eliminations	Other than Dedicated Collections (with Eliminations)	Eliminations Between Dedicated and Other than Dedicated	Total	Reclassified Financial Statement Line
Gross Costs	\$ 143,518	\$ 10,905	\$ -	\$ 102,051	\$ -	\$ 112,956	Non-federal Gross Cost
		-	-	2	-	2	PP&E Partial Impairment Loss
		10,905	-	102,053	-	112,958	Total Non-federal Gross Costs
							Intragovernmental Gross Costs
		781	-	8,977	-	9,758	Benefit Program Costs
		646	-	3,911	-	4,557	Imputed Costs
		2,995	2	11,068	700	13,361	Buy/Sell Costs
		681	-	-	-	681	Borrowing and Other Interest Expense
		128	-	1,683	-	1,811	Other Expenses (without Reciprocals)
		392	-	-	-	392	Federal Securities Interest Revenue Including Associated Gains/Losses
		5,623	2	25,639	700	30,560	Total Intragovernmental Costs
		143,518	16,528	127,692	700	143,518	Total Reclassified Gross Costs
Earned Revenue	(20,329)	(13,081)	-	(4,975)	-	(18,056)	Non-federal Earned Revenue
							Intragovernmental Revenue
		(102)	(2)	(2,843)	(700)	(2,243)	Buy/Sell Revenue
		(30)	-	-	-	(30)	Federal Securities Interest Revenue Including Associated Gains/Losses
		(132)	(2)	(2,843)	(700)	(2,273)	Total Intragovernmental Earned Revenue
Total Earned Revenue	(20,329)	(13,213)	(2)	(7,818)	(700)	(20,329)	Total Reclassified Earned Revenue
(Gain)/Loss - Pension/ORB/OPEB Assumptions	459	-	-	459	-	459	(Gain)/Loss on Changes in Actuarial Assumptions (Non-federal)
Net Cost of Operations	\$ 123,648	\$ 3,315	\$ -	\$ 120,333	\$ -	\$ 123,648	Net Cost of Operations



**Reclassification of Statement of Changes in Net Position to Line Items Used for Government-wide Statement
of Operations and Changes in Net Position for the Year Ending September 30, 2025 (\$ in millions)**

DHS Financial Statement Line	Amounts	Total	Reclassified Financial Statement Line for FR
Unexpended Appropriations			
Unexpended Appropriations, Beginning Balance	\$ 135,160	\$ 135,160	Unexpended Appropriations, Beginning Balance
Appropriations Received	308,546	308,546	Appropriations Received
Other Adjustments	(1,160)	(1,160)	Other Adjustments
Appropriations Transferred In/Out	32	41	Non-Expenditures Transfers – Into Unexpended Appropriations & Financing Sources (Federal)
		(9)	Non-Expenditures Transfers – Out of Unexpended Appropriations & Financing Sources (Federal)
Appropriations Used	(112,502)	(112,502)	Appropriations Used
Total Unexpended Appropriations	\$ 330,076	\$ 330,076	Total Unexpended Appropriations
Cumulative Results of Operations			
Cumulative Results, Beginning Balance	13,577	13,577	Cumulative Results, Beginning Balance
Other Adjustments	(32)	(32)	Other Adjustments
Appropriations Used	112,502	112,502	Appropriations Used
Non-Exchange Revenues/Exchange Revenues without Associated Costs	3,395		Non-federal Non-Exchange Revenues
		444	Excise Taxes
		75	Customs Duties
		1,919	Other Taxes and Receipts
		2,438	Total Non-federal Non-Exchange Revenues
			Federal Non-Exchange Revenue
			Federal Securities Interest Revenue, including Associated Gains/Losses (Non-Exchange)
		492	
		465	Other Taxes and Receipts
Total Non-Exchange Revenues	3,395		Total Federal Non-Exchange Revenue
		957	
Total Non-Exchange Revenues	3,395	3,395	Total Non-Exchange Revenues
Donations and Forfeitures of Property	46	6,988	Financing Sources
Transfers In/Out without Reimbursement	(200)		
Other	2,579		
Donations and Forfeitures of Cash and Cash Equivalents	6		
Imputed Financing	4,557		
Total Donations, Transfers, Imputed Financing, and Other	6,988	6,988	Total Financing Sources
Net Cost of Operations	(123,648)	(123,648)	Net Cost of Operations
Ending Balance – Cumulative Results of Operations	\$ 12,782	\$ 12,782	Cumulative Results of Operations
Total Net Position	\$ 342,858	\$ 342,858	Net Position



30. Non-Custodial Non-Exchange Revenues

The majority of DHS non-custodial non-exchange revenues are collected by ICE and CBP and are available as a budgetary resource to support the mission of those Components. ICE's Immigration Enforcement Account is a centralized fund used to manage and report the collection of non-exchange revenue from enforcement actions related to Civil Penalties, Failure to Depart, and Document Fraud. This account tracks funds collected through statutory penalties for violations such as noncompliance with removal orders, document fraud, and other immigration-related infractions. The CBP Customs User Fees fund collects processing fees for air and sea passengers, commercial trucks, rail cars, private vessels and aircraft, commercial vessels, dutiable mail packages, and customs broker permits.

Non-custodial non-exchange revenues reported on the Consolidated Statement of Changes in Net Position were as follows:

For the Fiscal Year Ended September 30, 2025 (\$ in millions):		Tax Year 2025
Non-Exchange Revenue		
Excise Taxes	\$	444
Customs Duties		75
Federal Securities Interest Revenue		492
Other Taxes and Receipts		
Customs User Fee Account		1,880
Immigration Civil Penalties		21
Other Taxes and Receipts		483
Total Other Taxes and Receipts		2,384
Less: Total Amount of Refunds		-
Total Amount of Federal Revenues Collected		
Less Refunds	\$	3,395



REQUIRED SUPPLEMENTARY INFORMATION

Unaudited, see accompanying Independent Auditors' Report.

1. Deferred Maintenance and Repairs

The Department presents deferred maintenance and repairs as of the end of the fiscal year in accordance with SFFAS No. 42, *Deferred Maintenance and Repairs: Amending Statements of Federal Financial Accounting Standards 6, 14, 29 and 32*. Maintenance and repairs are activities directed toward keeping fixed assets in an acceptable condition. Activities include preventive maintenance; replacement of parts, systems, or components; and other activities needed to preserve or maintain the asset. Deferred maintenance and repairs are activities that were not performed when they should have been, or that were scheduled to be performed but were delayed for a future period.

Deferred maintenance and repair amounts represent the cost to restore an asset's condition so that the asset provides acceptable services and achieves its expected life. Mission performance metrics reports, scorecards, and historical records are used as objective evidence of deficiencies in deferred maintenance and repairs. Project management reviews of the inputs are conducted to identify maintainability and reliability, labor costs, design costs, technical expertise required, organizational reparability, organizational spares availability, and opportunities to use spare parts from property that may be retired.

Defining and Implementing Maintenance and Repairs Policies. The Department measures deferred maintenance and repairs for each class of asset using condition assessments performed at least once every five years. These assessments include surveys, inspections, operating evaluations, regional strategic assessments, facility quality ratings, and consolidated support function plans. Deferred maintenance and repair procedures are performed for capital and non-capital accountable personal and real property, capitalized stewardship PP&E including multi-use heritage assets—such as buildings and structures, memorials, and recreational areas—as well as inactive and excess property that is not required to fulfill the Component missions or have been withdrawn from operational service. Most of these assets have been fully depreciated. The condition of the assets included in these assessments ranges from good to poor. Components identify maintenance not performed as scheduled and establish future performance dates.

The Department allows Components the flexibility to apply industry standard methods commensurate with each asset's condition and usage, unless more thorough procedures are mandated by federal, state, or local codes.

Components estimate the cost to address deferred maintenance and repair deficiencies using construction, maintenance, and repair cost data available through the Components' real property structure.

Ranking and Prioritizing Maintenance and Repair Activities. The Department ranks and prioritizes deferred maintenance and repair activities based on mission criticality to the operations of the Department and legal requirements, as well as the condition of the asset. Deferred maintenance and repair projects are prioritized among other activities as part of the Department's five-year strategic plan and annual capital budgeting processes.



Factors Considered in Setting Acceptable Condition. Acceptable condition is primarily prescribed by the facility condition assessments or other similar methodology. The condition assessment process includes factors such as asset age, operating environment, inventory levels, threat vulnerability, and current condition as determined by physical inspection, operating environment, and maintenance and repair history of the asset under assessment. The Department also considers federal requirements (including OMB's Federal Real Property Profile), accessibility, mission criticality, and needs.

Heritage Assets Excluded under Deferred Maintenance and Repairs. The Department possesses certain types of heritage assets that are not reported in deferred maintenance and repairs. These heritage assets include artifacts, artwork, display models, and sunken vessels and aircraft that have deteriorated through damage due to moving and transportation, storage or display, or environmental degradation.

Significant Changes from Prior Year. As of September 30, 2025, \$1,962 million in deferred maintenance and repairs was estimated to return real property assets to acceptable operating condition. This is an overall increase of \$157 million from the prior year.

For the Year Ended September 30, 2025 (\$ in millions):		Ending	Beginning
Active:			
Buildings, Structures, and Facilities	\$	1,439	\$ 1,397
Furniture, Fixtures, and Equipment		456	333
Other PP&E		30	34
Heritage assets		34	35
Total Active	\$	1,959	\$ 1,799
Inactive and Excess:			
Buildings, Structures, and Facilities	\$	1	\$ 4
Heritage assets		2	2
Total Inactive and Excess	\$	3	\$ 6
Total Deferred Maintenance and Repairs	\$	1,962	\$ 1,805

2. Combining Statement of Budgetary Resources

The principal Statement of Budgetary Resources combines the availability, status, and outlays of the Department's budgetary resources during FY 2025. The table that begins on the next page provides the Statement of Budgetary Resources disaggregated by DHS Components rather than by major budget account because the Department manages its budget at the Component level.



**Statement of Budgetary Resources, by Component, for the Year Ending
September 30, 2025 (\$ in millions)**

For the Year Ended September 30, 2025 (\$ in millions):	CBP	USCG	USCIS	CISA	FEMA	ICE	USSS	TSA	DHS Operations and Others	Total
Budgetary Resources										
Unobligated Balance from Prior Year Budget Authority, Net (Discretionary and Mandatory) (Note 26)	\$ 5,018	\$ 7,087	\$ 3,114	\$ 383	\$ 27,215	\$ 1,176	\$ 384	\$ 1,093	\$ 3,231	\$ 48,701
Appropriations (Discretionary and Mandatory)	94,903	38,405	7,782	2,742	73,048	85,714	4,782	8,176	17,163	332,715
Borrowing Authority (Discretionary and Mandatory) (Note 22)		-	-	-	2,502	-	-	-	-	2,502
Spending Authority from Offsetting Collections (Discretionary and Mandatory)	2,489	633	147	(1)	4,529	247	53	3,144	3,149	14,390
Total Budgetary Resources	\$ 102,410	\$ 46,125	\$ 11,043	\$ 3,124	\$ 107,294	\$ 87,137	\$ 5,219	\$ 12,413	\$ 23,543	\$ 398,308
Status of Budgetary Resources										
New Obligations and Upward Adjustments (Total)	\$ 38,964	\$ 17,424	\$ 6,465	\$ 2,684	\$ 71,235	\$ 12,198	\$ 3,849	\$ 11,305	\$ 7,359	\$ 171,483
Unobligated Balance, End of Year										
Apportioned, Unexpired Accounts	61,961	27,590	4,088	316	35,563	74,605	1,221	677	15,896	221,917
Exempt from Apportionment, Unexpired Accounts	3	-	-	-	-	-	8	-	1	12
Unapportioned, Unexpired Accounts	598	281	447	2	224	33	1	132	18	1,736
Unexpired Unobligated Balance, End of Year	62,562	27,871	4,535	318	35,787	74,638	1,230	809	15,915	223,665
Expired Unobligated Balance, End of Year	884	830	43	122	272	301	140	299	269	3,160
Unobligated Balance Brought Forward, End of Year	63,446	28,701	4,578	440	36,059	74,939	1,370	1,108	16,184	226,825
Total Budgetary Resources	\$ 102,410	\$ 46,125	\$ 11,043	\$ 3,124	\$ 107,294	\$ 87,137	\$ 5,219	\$ 12,413	\$ 23,543	\$ 398,308

(table continued on next page)



**Statement of Budgetary Resources, by Component, for the Year Ending
September 30, 2025 (\$ in millions)**

(table continued from prior page)

For the Year Ended September 30, 2025 (\$ in millions):	CBP	USCG	USCIS	CISA	FEMA	ICE	USSS	TSA	DHS Operations and Others	Total
Outlays, Net and Disbursements, Net										
Outlays, Net (Total) (Discretionary and Mandatory)	28,732	13,822	6,019	2,717	62,608	10,701	3,575	8,277	4,151	140,602
Distributed Offsetting Receipts (-)	(6,420)	(266)	(8,161)	-	(810)	(257)	-	(1,886)	2	(17,798)
Agency Outlays, Net (Discretionary and Mandatory)	\$ 22,312	\$ 13,556	\$ (2,142)	\$ 2,717	\$ 61,798	\$ 10,444	\$ 3,575	\$ 6,391	\$ 4,153	\$ 122,804
Disbursements, Net (Total) (Mandatory)	\$ -	\$ -	\$ -	\$ -	\$ (2)	\$ -	\$ -	\$ -	\$ -	(2)



3. Custodial Activity

As of September 30 (\$ in millions)	2025
Amount of receivables CBP had a legal right to collect	\$ 25,230
Additional assessed receivables in the protest phase	8,810
Amount CBP recognized as write-offs for assessments the Department had statutory authority to collect but have no future collection potential	539

Substantially all duty, tax, and fee revenues collected by CBP are remitted to various general fund accounts maintained by Treasury and the U.S. Department of Agriculture. Treasury further distributes this revenue to other federal agencies in accordance with various laws and regulations. CBP transfers the remaining revenue (generally less than one percent of revenue collected) directly to either other federal or non-federal agencies. Refunds of revenue collected from import/export activities are recorded in separate accounts established for this purpose and are funded through permanent indefinite appropriations. These activities reflect the custodial responsibilities that CBP, as an agency of the Federal Government, has been authorized by law to enforce.

CBP reviews selected documents to ensure all duties, taxes, and fees owed to the Federal Government are paid and to ensure all regulations are followed. If CBP determines duties, taxes, fees, fines, or penalties are due in addition to estimated amounts previously paid by the importer/violator, the importer/violator is notified of the additional amount due. CBP regulations allow the importer/violator to file a protest on the additional amount due for review by the Center Director. A protest allows the importer/violator the opportunity to submit additional documentation supporting the claim of a lower amount due or to cancel the additional amount due in its entirety. During this protest period, CBP does not have a legal right to the importer/violator's assets, and consequently CBP recognizes accounts receivable only when the protest period has expired, or an agreement is reached.

There is no statute of limitations for collections against an importer. CBP writes them off once they have been determined uncollectible and have all of the appropriate concurrence and approvals.

4. Land

DHS has both PP&E and stewardship land. DHS follows, where applicable, the *Federal Land Policy and Management Act of 1976* (P.L. 94-579); 43 U.S.C. Chapter 35: Federal Land Policy and Management; SFFAS No. 6, *Accounting for Property, Plant, and Equipment*; SFFAS No. 29, *Heritage Assets and Stewardship Land*; and SFFAS No. 59, *Accounting and Reporting of Government Land*, for the acquisition, maintenance, use, and disposal of PP&E and stewardship land. Land includes land rights intended to be held indefinitely, and land in the public domain.

As of September 30, 2025 (in acreage):	Estimated Acreage by Predominant Use		Total Estimated Acreage
	Conservation and Preservation	Operational	
PP&E Land			
Start of Year	84	82,871	82,955
End of Year	1,996	79,371	81,367
Stewardship Land			
Start of Year	647	107	754
End of Year	647	107	754
Held for Disposal or Exchange			
Start of Year	-	4,280	4,280
End of Year	-	4,240	4,240

**PP&E Land:**

USCG's land makes up 84% of all land owned by DHS. USCG's PP&E land is used for waterfront and aviation operations; maintenance and industrial activities; logistics and fuel storage; training; command, control, communications, surveillance, and navigation-aid sites; administrative and installation support areas (including housing); and environmental/safety buffers and access corridors.

CBP holds land used in operations and held in an administrative capacity. For border security operations, land has been acquired for border barriers, land ports of entry, and border patrol stations. In FY 2025, CBP reclassified 1,912 acres from Operational use to Conservation and Preservation use.

FEMA's Center for Domestic Preparedness is located in Alabama. The Center for Domestic Preparedness identifies, develops, tests, and delivers training to state, local, and tribal emergency response providers. FEMA also has land in Massachusetts, Texas, and Washington from which it delivers disaster-response services to communities in nearby regions.

FLETC has training centers in Georgia, Maryland, New Mexico, South Carolina, and Washington, D.C. These centers support its mission of training Federal, State, Local, and Tribal law enforcement officers and international partners that are responsible for enforcing laws, treaties, and regulations within the United States and abroad.

ICE land is used by ICE Enforcement and Removal Operations entities to identify, arrest, transport, detain, and remove noncitizens in the U.S. illegally. It also is used to support Homeland Security Investigations in conducting federal criminal investigations into the illegal cross-border movement of people, goods, money, technology, and other contraband throughout the U.S.

S&T owns Plum Island in New York. Part of the island is PP&E land, which is the site of the Plum Island Animal Disease Center.

USSS owns federal land at the James J. Rowley Training Center located in Maryland. The center is used for protective, investigative, specialized tactical, and executive/managerial training designed for special agents, UD officers, special officers, and physical security specialists, as well as their canine teams.

Stewardship Land

FEMA's National Emergency Training Center in Maryland is part of the Emmitsburg Historic District. The National Emergency Training Center campus houses the U.S. Fire Administration and the National Fire Academy which provides leadership, technical training and advanced research to firefighters, fire officers and emergency responders.

S&T's stewardship land on Plum Island are the sites of the Plum Island Lighthouse and the Fort Terry Historic District, both of which are listed in the National Register of Historic Places.

For additional information on stewardship PP&E, see [Note 11](#), Stewardship Property, Plant, and Equipment.



INDEPENDENT AUDITORS' REPORT



U.S. DEPARTMENT OF HOMELAND SECURITY **OFFICE OF INSPECTOR GENERAL**

OIG-26-03

January 23, 2026

FINAL REPORT

Independent Auditors' Report on the Department of Homeland Security's FY 2025 Consolidated Financial Statements and Internal Control over Financial Reporting



**OFFICE OF INSPECTOR GENERAL**

U.S. Department of Homeland Security

Washington, DC 20528 | www.oig.dhs.gov

January 23, 2026

MEMORANDUM FOR: The Honorable Kristi Noem
Secretary
Department of Homeland Security

FROM: Glenn Sklar GLENN E SKLAR Digitally signed by GLENN E SKLAR
Date: 2025.01.23 12:31:46 -0500
Principal Deputy Inspector General

SUBJECT: *Independent Auditors' Report on the Department of Homeland Security's FY 2025 Consolidated Financial Statements and Internal Control over Financial Reporting*

The attached report presents the results of an integrated audit of the Department of Homeland Security's consolidated financial statements for fiscal year 2025 and internal control over financial reporting as of September 30, 2025. This audit is required by the *Chief Financial Officers Act of 1990*, as amended by the *Department of Homeland Security Financial Accountability Act* (October 16, 2004).

We contracted with the independent public accounting firm KPMG LLP (KPMG) to conduct the audit. The contract required that the audit be performed in accordance with U.S. generally accepted government auditing standards, Office of Management and Budget audit guidance, and the GAO/CIGIE *Financial Audit Manual*.

The Department achieved an unmodified (clean) opinion on all financial statements. However, KPMG issued an adverse opinion on DHS's internal control over financial reporting because of material weaknesses in internal control in five areas. KPMG also identified a significant deficiency in one area and instances of noncompliance with two laws.

Below is the list of material weaknesses, significant deficiency, and laws with which DHS did not comply.

Material Weaknesses in Internal Control

1. Information Technology Controls and Information Systems
2. Financial Reporting
3. Taxes Receivable, Net
4. Construction in Progress
5. Internal Control Monitoring

OIG Project No. AUD-25-019-AUD-DHS

**Significant Deficiency in Internal Control**

1. Grants Recipient Monitoring

Noncompliance with Laws and Regulations

1. *Federal Managers' Financial Integrity Act of 1982*
2. *Federal Financial Management Improvement Act of 1996*

KPMG is responsible for the attached Independent Auditors' Report dated January 22, 2026, and the conclusions expressed in the report. We do not express opinions on DHS's financial statements or internal control over financial reporting or conclusions on compliance and other matters.

Consistent with our responsibility under the *Inspector General Act of 1978, as amended*, we will provide copies of our report to congressional committees with oversight and appropriation responsibility over the Department of Homeland Security. We will post the report on our website for public dissemination.

Please call me with any questions, or your staff may contact Craig Adelman, Deputy Inspector General for Audits, at (202) 981-6000.

Attachment

Office of Inspector General

U.S. Department of Homeland Security | Washington, DC 20528 | www.oig.dhs.gov



DHS OIG HIGHLIGHTS

Independent Auditors' Report on the Department of Homeland Security's FY 2025 Consolidated Financial Statements and Internal Control over Financial Reporting

January 23, 2026

Why We Did This Audit

The *Chief Financial Officers Act of 1990* (Public Law 101-576) and the *Department of Homeland Security Financial Accountability Act* (Public Law 108-330) require us to conduct an annual audit of the Department of Homeland Security's consolidated financial statements and internal control over financial reporting.

What We Recommend

KPMG LLP made 20 recommendations that, when implemented, may improve the Department's internal control.

For Further Information:
Contact our Office of Public Affairs at
(202) 981-6000, or email us at:
DHS-OIG.OfficePublicAffairs@oig.dhs.gov.

What We Found

The independent public accounting firm KPMG LLP (KPMG) under contract with the DHS, Office of Inspector General, has issued an unmodified (clean) opinion on DHS's fiscal year 2025 consolidated financial statements. KPMG noted that the financial statements present fairly, in all material respects, DHS's financial position as of September 30, 2025.

KPMG issued an adverse opinion on DHS's internal control over financial reporting as of September 30, 2025. The report identifies material weaknesses in internal control in five areas:

1. Information Technology Controls and Information Systems
2. Financial Reporting
3. Taxes Receivable, Net
4. Construction in Progress
5. Internal Control Monitoring

KPMG also identified a significant deficiency related to Grant Recipient Monitoring as well as noncompliance with the following two laws:

1. Federal Managers' Financial Integrity Act of 1982
2. Federal Financial Management Improvement Act of 1996.

Management's Response

DHS concurred with all the recommendations, noting that it continues to prioritize maturing its information technology controls and implement an aggressive plan to modernize its financial systems. DHS also indicated that it is committed to implementing the necessary corrective actions and will continue to work diligently to address all issues identified in the report.



OFFICE OF INSPECTOR GENERAL
U.S. Department of Homeland Security

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KPMG LLP
Suite 12000
1801 K Street, NW
Washington, DC 20006

Independent Auditors' Report

Secretary and Inspector General
U.S. Department of Homeland Security:

Report on the Consolidated Financial Statements and Internal Control

Opinions on the Consolidated Financial Statements and Internal Control Over Financial Reporting

We have audited the consolidated financial statements of the U.S. Department of Homeland Security (DHS), which comprise the consolidated balance sheet as of September 30, 2025, and the related consolidated statements of net cost, changes in net position, and custodial activity, and combined statement of budgetary resources for the year then ended, and the related notes to the consolidated financial statements. In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of DHS as of September 30, 2025, and its net cost, changes in net position, budgetary resources and custodial activity for the year then ended in accordance with U.S. generally accepted accounting principles.

We also have audited DHS's internal control over financial reporting as of September 30, 2025, based on criteria established in the *Standards for Internal Control in the Federal Government* (2014), issued by the Comptroller General of the United States. In our opinion, because of the effect of the material weaknesses described in the Basis for Adverse Opinion on Internal Control Over Financial Reporting section on the achievement of the objectives of the control criteria, DHS has not maintained effective internal control over financial reporting as of September 30, 2025, based on criteria established in the *Standards for Internal Control in the Federal Government* (2014), issued by the Comptroller General of the United States.

We considered the material weaknesses described in the Basis for Adverse Opinion on Internal Control Over Financial Reporting section in determining the nature, timing, and extent of audit procedures applied in our audit of the fiscal year 2025 consolidated financial statements, and the material weaknesses do not affect such report on the consolidated financial statements.

Basis for Opinions

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS), the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, and Office of Management and Budget (OMB) Bulletin No. 24-02, *Audit Requirements for Federal Financial Statements*. Our responsibilities under those standards and OMB Bulletin No. 24-02 are further described in the Auditors' Responsibilities for the Audits of the Consolidated Financial Statements and Internal Control Over Financial Reporting section of our report. We are required to be independent of DHS and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Basis for Adverse Opinion on Internal Control Over Financial Reporting

A material weakness is a deficiency, or a combination of deficiencies, in internal control over financial reporting, such that there is a reasonable possibility that a material misstatement of the entity's consolidated financial statements will not be prevented, or detected and corrected, on a timely basis. The following areas of material weaknesses have been identified and included in the accompanying *Management's Report on Internal Controls*

KPMG LLP, a Delaware limited liability partnership, and its subsidiaries are part of the KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee.



Over *Financial Reporting* and are further described in the accompanying *Exhibits* as items I-A, I-B, I-C, I-D, and I-E:

- A. Information Technology Controls and Information Systems
- B. Financial Reporting
- C. Taxes Receivable, Net
- D. Construction in Progress
- E. Internal Control Monitoring

Material weaknesses in the control environment, risk assessment process, information and communication, and monitoring activities have been identified but not included in the accompanying *Management's Report on Internal Controls Over Financial Reporting* and are further described as the 'Causes' of the deficiencies reported throughout the accompanying *Exhibits*.

Emphasis of Matter – Debt

As discussed in Note 14 to the consolidated financial statements, DHS had intragovernmental debt of approximately \$23 billion as of September 30, 2025, related to financing the National Flood Insurance Program (NFIP). The debt and interest payments are financed by flood premiums from policyholders. Given the current rate structure, DHS will not be able to pay its debt from the premium revenue alone; therefore, DHS does not anticipate repaying the debt in full. Our opinion is not modified with respect to this matter.

Emphasis of Matter – Custodial Revenue

As discussed in Note 27 to the consolidated financial statements, DHS experienced a significant increase in duties collected during FY 2025 compared to the prior year. This increase is primarily attributed to deposits of duties that were imposed pursuant to Executive Orders of the President issued under the *International Emergency Economic Powers Act* and Section 232 of the *Trade Expansion Act of 1962*. The authority to collect those duties is currently the subject of ongoing litigation, which is pending before the Supreme Court. Our opinion is not modified with respect to this matter.

Other Matter – Interactive Data

Management has elected to reference to information on websites or other forms of interactive data outside the *Agency Financial Report* to provide additional information for the users of its consolidated financial statements. Such information is not a required part of the consolidated financial statements or supplementary information required by the Federal Accounting Standards Advisory Board. The information on these websites or the other interactive data has not been subjected to any of our auditing procedures, and accordingly, we do not express an opinion or provide any assurance on it.

Responsibilities of Management for the Consolidated Financial Statements and Internal Control Over Financial Reporting

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with U.S. generally accepted accounting principles, and for the design, implementation, and maintenance of effective internal control over financial reporting relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error. Management is also responsible for its assessment about the effectiveness of internal control over financial reporting, included in the accompanying *Management's Report on Internal Control Over Financial Reporting*.

Auditors' Responsibilities for the Audits of the Consolidated Financial Statements and Internal Control Over Financial Reporting

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and about whether effective internal



control over financial reporting was maintained in all material respects, and to issue an auditors' report that includes our opinions.

Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit of consolidated financial statements or an audit of internal control over financial reporting conducted in accordance with GAAS, *Government Auditing Standards*, and OMB Bulletin No. 24-02 will always detect a material misstatement or a material weakness when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered to be material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit of consolidated financial statements and an audit of internal control over financial reporting in accordance with GAAS, *Government Auditing Standards*, and OMB Bulletin No. 24-02, we:

- Exercise professional judgment and maintain professional skepticism throughout the audits.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the consolidated financial statement audit in order to design audit procedures that are appropriate in the circumstances.
- Obtain an understanding of internal control over financial reporting relevant to the audit of internal control over financial reporting, assess the risks that a material weakness exists, and test and evaluate the design and operating effectiveness of internal control over financial reporting based on the assessed risk.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about DHS's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the consolidated financial statement audit.

We did not test all internal controls relevant to operating objectives as broadly defined by the *Federal Managers' Financial Integrity Act of 1982*.

Definition and Inherent Limitations of Internal Control Over Financial Reporting

An entity's internal control over financial reporting is a process effected by those charged with governance, management, and other personnel, designed to provide reasonable assurance regarding the preparation of reliable financial statements in accordance with U.S. generally accepted accounting principles. An entity's internal control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the entity; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with U.S. generally accepted accounting principles, and that receipts and expenditures of the entity are being made only in accordance with authorizations of management and those charged with governance; and (3) provide reasonable assurance regarding prevention,



or timely detection and correction of unauthorized acquisition, use, or disposition of the entity's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent, or detect and correct, misstatements. Also, projections of any assessment of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Other Matter – Management's Report on Internal Control Over Financial Reporting

In *Management's Report on Internal Control over Financial Reporting*, management has provided a qualified assessment of the effectiveness of the Entity's internal control over financial reporting as of September 30, 2025. Management's report indicates that their assessment was qualified because of the material weakness described in their report. However, the existence of a single material weakness necessitates a conclusion that internal control over financial reporting is not effective.

Management's statements regarding DHS's accomplishments in fiscal year 2025 and the continued existence of areas of improvement, included in the accompanying *Management's Report on Internal Control Over Financial Reporting*, have not been subjected to any of our auditing procedures, and accordingly, we do not express an opinion or provide any assurance on it.

Required Supplementary Information

U.S. generally accepted accounting principles require that the information in the Management's Discussion and Analysis and Required Supplementary Information sections be presented to supplement the basic consolidated financial statements. Such information is the responsibility of management and, although not a part of the basic consolidated financial statements, is required by the Federal Accounting Standards Advisory Board who considers it to be an essential part of financial reporting for placing the basic consolidated financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with GAAS, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic consolidated financial statements, and other knowledge we obtained during our audits of the basic consolidated financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Management is responsible for the other information included in the *Agency Financial Report*. The other information comprises the Welcome to the U.S. Department of Homeland Security's Fiscal Year 2025 Agency Financial Report, Table of Contents, Message from the Secretary, Financial Information: Section Contents, Financial Information: Message from the Acting Chief Financial Officer, Other Information, Appendix A: Acronyms, and Appendix B: Acknowledgements sections, but does not include the consolidated financial statements and our auditors' report thereon. Our opinion on the consolidated financial statements does not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the consolidated financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

**Other Reporting Required by Government Auditing Standards***Other Reporting on Internal Control*

In accordance with *Government Auditing Standards*, we are required to report findings of significant deficiencies. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance. Our audit of internal control over financial reporting was not designed to identify all deficiencies in internal control that might be significant deficiencies. Given these limitations, significant deficiencies may exist that were not identified. We consider the deficiency described in the accompanying *Exhibits* as item II-F Grant Recipient Monitoring to be a significant deficiency.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether DHS's consolidated financial statements as of and for the year ended September 30, 2025 are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the consolidated financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audits, and accordingly, we do not express such an opinion. The results of our tests disclosed instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards* or OMB Bulletin No. 24-02, and which are described in the accompanying *Exhibits* as item III-G Federal Managers' Financial Integrity Act of 1982 (FMFIA).

We also performed tests of DHS's compliance with certain provisions referred to in Section 803(a) of the *Federal Financial Management Improvement Act of 1996* (FFMIA). Providing an opinion on compliance with FFMIA was not an objective of our audits, and accordingly, we do not express such an opinion. The results of our tests disclosed instances, described in the accompanying *Exhibits* as item III-H Federal Financial Management Improvement Act of 1996 (FFMIA), in which DHS's financial management systems did not substantially comply with the Federal financial management systems requirements and the United States Government Standard General Ledger at the transaction level. The results of our tests disclosed no instances in which DHS's financial management systems did not substantially comply with the applicable Federal accounting standards.

DHS's Response to Findings

Government Auditing Standards requires the auditor to perform limited procedures on DHS's response to the findings identified in our audits and described in Appendix A. DHS's response was not subjected to the other auditing procedures applied in the audit of the consolidated financial statements or the audit of internal control over financial reporting and, accordingly, we express no opinion on the response.

Purpose of the Other Reporting Required by Government Auditing Standards

The purpose of the Other Reporting Required by *Government Auditing Standards* is solely to describe the deficiencies we consider to be significant deficiencies and the scope of our testing of compliance and the results of that testing, and not to provide an opinion on compliance. This communication is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering DHS's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

KPMG LLP

Washington, D.C.
January 22, 2026



Independent Auditors' Report

Exhibits Overview

The weaknesses in internal control over financial reporting (internal control) existed as of September 30, 2025, and the instances of noncompliance with certain provisions of laws and regulations occurred during the year ended September 30, 2025. The determination of which control deficiencies rise to the level of a material weakness or a significant deficiency is based on an evaluation of the impact of control deficiencies identified across DHS (including headquarters and the components), considered individually and in the aggregate, on the DHS consolidated financial statements as of, and for the year ended, September 30, 2025. The associated material weaknesses in entity level controls, as defined by the Government Accountability Office's *Standards for Internal Control in the Federal Government*, issued by the Comptroller General of the United States in September 2014 (Green Book), are also identified in relation to the control activities in the corresponding areas of the following Exhibits. The material weaknesses in entity level controls are reported by each of the impacted Green Book principles in Exhibits I and II.

The findings are presented in three Exhibits:

Exhibit I Material Weaknesses. A material weakness is a deficiency, or combination of deficiencies, in internal control over financial reporting, such that there is a reasonable possibility that a material misstatement of the entity's consolidated financial statements will not be prevented, or detected and corrected, on a timely basis. DHS had material weaknesses within each of the following areas, as well as the associated Entity Level Controls related to the Control Environment, Risk Assessment Process, Information and Communication and Monitoring activities:

- A. Information Technology Controls and Information Systems
- B. Financial Reporting
- C. Taxes Receivable, Net
- D. Construction in Progress
- E. Internal Control Monitoring

Exhibit II Significant Deficiency. A significant deficiency is a deficiency, or combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by DHS management and others in positions of DHS oversight. DHS had a significant deficiency within the following area:

- F. Grant Recipient Monitoring

Exhibit III Compliance and Other Matters. The compliance and other matters section includes instances of noncompliance with certain provisions of laws, regulations, contracts, and grant agreements, and other matters that are required to be reported under *Government Auditing Standards* or Office of Management and Budget (OMB) Bulletin No. 24-02, *Audit Requirements for Federal Financial Statements*. DHS had instances of noncompliance as follows:

- G. *Federal Managers' Financial Integrity Act of 1982*
- H. *Federal Financial Management Improvement Act of 1996*

Criteria DHS's internal control over financial reporting is based on the criteria established by the 17 principles of the Green Book.

**Independent Auditors' Report**
Exhibit I – Material Weaknesses**I-A Information Technology Controls and Information Systems***Background:*

Information technology (IT) systems are comprised of four layers of technology – application, database, operating system, and network. Each layer presents risks arising from IT that an entity needs to address for automated controls to operate and function effectively, and for the integrity of data and information sources from the entity's IT system to be maintained. IT general controls (ITGCs) address risks arising from IT in the areas of access to programs and data, program changes, program acquisition and development, and computer operations. Automated controls are those performed by an IT system.

Conditions:

DHS did not design its information systems and related control activities to achieve objectives and respond to risks arising from IT (Principle 11). For certain areas of its information system that were properly designed, DHS did not implement the control activities (Principle 12). In addition, certain control activities that were properly designed and implemented did not operate effectively. Material weaknesses existed in ITGCs within information systems used for financial reporting at headquarters and various components across DHS, including the U.S. Coast Guard (USCG), Federal Emergency Management Agency (FEMA), U.S. Immigration and Customs Enforcement (ICE), and Transportation Security Administration (TSA). In addition, a material weakness existed in automated controls at U.S. Customs and Border Protection (CBP).

Specifically, DHS did not design, implement, or effectively operate ITGCs in the following areas:

Access to programs and data

- User, service, shared, privileged, and generic (including emergency, temporary, developer, and migrator) accounts were not properly authorized, recertified, or revoked timely.
- Passwords were not properly configured.

Program changes

- System changes to the database and application layer were not documented, authorized, or monitored, including changes made by privileged users.

In addition, DHS did not:

- timely review and remediate certain database and operating system vulnerabilities; or
- properly design application controls.

Causes:

These deficiencies are a result of weaknesses in the DHS's control environment, risk assessment process, information and communication, and monitoring activities because DHS did not:

- document processes related to privileged user access reviews (Principle 3);
- maintain documentation of its internal control related to user access approval and recertification (Principle 3);
- hold system owners accountable for terminating user access timely (Principle 5);
- identify, analyze, and respond to risks arising from IT, including risks created by historic limitations in the functionality of its information systems (Principle 7);
- identify, analyze, and respond to changes associated with a new system (Principle 9);
- monitor database and application changes implemented into the production environment (Principle 16); and
- remediate previously identified internal control deficiencies that have existed for years in multiple information systems (Principle 17).

**Independent Auditors' Report**
Exhibit I – Material Weaknesses

Effects:

As a result of these ITGC deficiencies, material weaknesses existed in the automated controls for 10 information systems. The deficiencies increase the risk of unauthorized access to information systems or data and inappropriate disclosures of sensitive data. As such, there is a reasonable possibility that material misstatements in each financial statement line item and related disclosures of the consolidated financial statements will not be prevented, or detected and corrected, on a timely basis.

In addition, key DHS financial information systems, including general ledger systems at USCG, FEMA and TSA, were not compliant with Federal financial management system requirements as defined by FFMA, as reported in Exhibit III-H. Automated controls at CBP, USCG, and ICE were not compliant with the USSGL at the transaction level as defined by FFMA, as reported in Exhibit III-H.

Recommendations:

We recommend:

1. DHS Office of the Chief Financial Officer (OCFO), in coordination with the DHS Office of the Chief Information Officer (OCIO), the DHS Office of the Chief Information Security Officer (OCISO), and component IT and financial management:
 - a) improve organizational structure to consistently complete a comprehensive risk analysis at each component and develop a mitigation plan to timely respond to risks related to ITGC and application control deficiencies;
 - b) design, implement, and communicate internal controls to address the risk of errors due to IT system functionality issues, the inability to rely on information derived from systems, and the inability to rely on application controls until information system deficiencies are remediated; and
 - c) develop, implement, operate and monitor policies and procedures and corrective action plans.
2. OCIO, OCISO, and component IT management monitor IT vulnerabilities and limitations, and coordinate with the OCFO and component financial management to implement manual controls to mitigate risk until automated controls are adequately designed and implemented.

**Independent Auditors' Report**
Exhibit I – Material Weaknesses

I-B Financial Reporting*Background:*

Financial reporting involves recording journal entries and compiling financial statements and disclosures to present DHS's financial position and results in accordance with U.S. generally accepted accounting principles.

Conditions:

DHS did not design control activities to achieve internal control objectives and respond to risks (Principle 10) and implement control activities through policies and procedures (Principle 12). In addition, certain control activities that were properly designed and implemented did not operate effectively. Material weaknesses were identified in controls over journal entries and the accounts used in the presentation of the financial statements and disclosures.

Specifically, DHS did not effectively:

Journal entries

- Design, implement, and operate controls over the accuracy of journal entries at CBP and USCG.

Presentation of financial statements and disclosures

- Design and implement controls over the accounts used to present civil monetary penalties at CBP and ICE.
- Operate controls over the accounts used to present Category C apportionments at USCG and U.S. Citizenship and Immigration Services (USCIS).
- Design and implement controls over the preparation of the custodial revenue disclosure at CBP.

Causes:

These deficiencies are a result of weaknesses in DHS's control environment, risk assessment process, information and communication, and monitoring activities because DHS did not:

- adequately train resources to perform their key control responsibilities over journal entries at CBP and USCG (Principle 4);
- adequately hold personnel accountable and adjust excessive pressures on personnel to help them fulfill their internal control responsibilities over journal entries and disclosures at CBP (Principle 5);
- identify, analyze, and respond to the risks posed by incomplete or inaccurate supporting documentation used to record journal entries and disclosures at CBP and USCG (Principle 7);
- analyze and respond to changes related to civil monetary penalties at CBP and ICE and apportionments at USCG and USCIS (Principle 9);
- process and use quality information for the preparation of the custodial revenue disclosure at CBP (Principle 13);
- communicate internally to consistently record civil monetary penalties and apportionments across DHS (Principle 14); and
- remediate previously identified internal control deficiencies that have existed for years (Principle 17).

Effects:

As a result of the deficiencies described above, misstatements occurred in multiple financial statement line items and disclosures and were subsequently corrected. Specifically, misstatements occurred in: (1) the gross costs line item for ICE on the statement of net cost and the non-exchange revenue line item on the statement of changes in net position; (2) the apportioned, unexpired and unapportioned, unexpired line items on the statement of budgetary resources; (3) the taxes receivable, net and accounts receivable,

**Independent Auditors' Report**
Exhibit I – Material Weaknesses

net disclosures; (4) the non-exchange, non-custodial revenues disclosure; and (5) the custodial revenues disclosure.

Additionally, there is a reasonable possibility that additional material misstatements in each financial statement line item and the related disclosures will not be prevented, or detected and corrected, on a timely basis.

These material weaknesses at CBP, USCG, USCIS, and ICE also resulted in instances of noncompliance with the application of the USSGL at the transaction level, as defined by FFMIA and reported in Exhibit III-H.

Recommendations:

In addition to previously listed recommendations, we recommend DHS:

3. perform an analysis to assess the risks of insufficient resources and implement processes and controls to ensure all necessary journal entries are accurately recorded in each period;
4. adequately train resources and reinforce existing policies, procedures, and established related internal controls, to ensure journal entries are adequately researched, supported, and reviewed for accuracy before recording in the general ledger;
5. identify, analyze, and respond to significant changes and update risk assessments related to financial reporting;
6. implement comprehensive reconciliation and review processes for the presentation of disclosures, including processing and using quality information; and
7. recruit and retain additional resources and align knowledgeable individuals to monitor and evaluate internal controls.

**Independent Auditors' Report**
Exhibit I – Material Weaknesses

I-C Taxes Receivable, Net*Background:*

DHS assesses duties, taxes, and fees on goods and merchandise brought into the United States from foreign countries. DHS's CBP is responsible for collecting custodial revenues and remitting funds to the General Fund of the U.S. Government (General Fund) and other federal entities. The related receivables are non-entity assets for which there is an offsetting liability due to the General Fund. The majority of the taxes receivable, net line item on the balance sheet consists of entry receivables and the related allowance.

Conditions:

DHS did not design control activities to achieve internal control objectives and respond to risks (Principle 10) and implement control activities through policies and procedures (Principle 12). Specifically, DHS did not effectively design and implement controls over the completeness and accuracy of the system-generated reports used to calculate the entry receivable balance or the assumptions used to calculate the related allowance.

Causes:

These deficiencies are a result of weaknesses in the entity's risk assessment process and information and communication because DHS did not:

- identify, analyze, and respond to the risks that the system-generated reports include incomplete and inaccurate information or that the assumptions used in the allowance methodology were inaccurate (Principle 7); and
- process and use quality information to record the entry receivable balance (Principle 13).

Effects:

As a result of the deficiencies described above, there is a reasonable possibility that material misstatements in the taxes receivable, net and corresponding liability to the General Fund line item on the balance sheet, as well as the related accrual adjustment on the statement of custodial activity, will not be prevented, or detected and corrected, on a timely basis.

Recommendations:

In addition to previously listed recommendations, we recommend DHS:

8. identify, analyze, and respond to the risk related to the configuration of the system-generated reports to ensure the reports extract complete and accurate information from the information system; and
9. identify, analyze, and respond to the risk related to the assumptions used in the allowance methodology to ensure the accuracy of the allowance.

**Independent Auditors' Report**
Exhibit I – Material Weaknesses

I-D Construction in Progress*Background:*

DHS's property, plant and equipment includes costs associated with construction projects, which are recorded as construction-in-progress (CIP) until the asset is placed in service. For USCG, these projects primarily relate to construction of surface vessels, aircraft, and shore infrastructure. In July 2025, Public Law 119-21 provided \$24.6 billion in future funding for construction, acquisition, and maintenance of USCG equipment.

Conditions:

DHS did not design control activities to achieve internal control objectives and respond to risks (Principle 10) and implement control activities through policies and procedures (Principle 12). Specifically, DHS did not effectively design and implement controls over the completeness, existence, accuracy and presentation of CIP transactions.

Causes:

These deficiencies are a result of weaknesses in DHS's control environment and information and communication because DHS did not:

- recruit, develop, and retain personnel to properly perform assigned roles and responsibilities (Principle 4);
- process and use quality information to record CIP transactions (Principle 13);
- communicate internally to convey accurate project status information to control owners to accurately record the related CIP transactions (Principle 14); and
- remediate previously identified internal control deficiencies that have existed for years (Principle 17).

Effects:

As a result of the deficiencies described above, there is a reasonable possibility that material misstatements in the CIP balance reported as part of the property, plant, and equipment, net line item on the balance sheet and the related disclosure will not be prevented, or detected and corrected, on a timely basis. In addition, the ineffective recording of CIP transactions resulted in instances of noncompliance with the application of the USSGL at the transaction level, as defined by FFMIA and reported in Exhibit III-H.

Recommendations:

In addition to previously listed recommendations, we recommend DHS:

10. recruit, develop, and retain personnel to perform assigned roles and responsibilities;
11. train personnel on the proper recording of costs and adjustments and the related accounting policies;
12. implement comprehensive reconciliation and review processes for CIP projects and assets, including processing and using quality information in the reconciliation; and
13. update policies and procedures to ensure the consistent communication of project status.

**Independent Auditors' Report**
Exhibit I – Material Weaknesses

I-E Internal Control Monitoring*Background:*

DHS conducts monitoring of its internal control in accordance with the Green Book. Monitoring internal control involves establishing a baseline, evaluating the effectiveness of DHS's controls, including assessing the reliability of information used in controls and considering the impact of service organizations on DHS's control environment.

Conditions:

DHS did not sufficiently design, implement, and operate control activities to obtain and generate relevant, quality information to support the functioning of the internal control system (Principle 13) and establish and operate monitoring activities to monitor the internal control system and evaluate the results (Principle 16). Material weaknesses were identified in controls over the information and communication and monitoring of the control environment.

Specifically, DHS did not effectively:

Information used in controls

- Design and implement controls to inventory and baseline all automated controls, including automated controls producing information used in manual controls at USCG, USCIS, FEMA, ICE, and TSA.
- Operate effective controls to baseline all automated controls, including automated controls producing information used in manual controls at CBP.

Service organizations

- Design, implement, and operate effective controls to monitor the National Flood Insurance Program (NFIP) Write Your Own (WYO) service providers at FEMA.
- Design and implement controls over the gap period between the end date of the reporting period covered by the Service Organization Control (SOC) report and the balance sheet date for one service organization at CBP.
- Operate effective complementary end user controls for one service organization at USCIS.

Causes:

These deficiencies are a result of weaknesses in the entity's control environment, risk assessment process, and monitoring activities because DHS did not:

- recruit and retain sufficient personnel to accomplish the control objectives (Principle 4);
- assess and respond to risks related to the reliance on automated controls, including information used in the performance of manual controls (Principle 7);
- assess and respond to risks related to the use of service organizations at CBP, USCIS, and FEMA (Principle 7); and
- remediate previously identified internal control deficiencies that have existed for years (Principle 17).

Effects:

As a result of the deficiencies described above, there is a reasonable possibility that material misstatements in the financial statement line items and related disclosures will not be prevented, or detected and corrected, on a timely basis. The deficiencies also resulted in noncompliance with Federal financial management system requirements, as defined by FFMIA and reported in Exhibit III-H. The failure to perform continuous monitoring and testing of IT and business process-level controls results in a lack of timely remediation of existing deficiencies and noncompliance with FMFIA, as reported in Exhibit III-G.

**Independent Auditors' Report**
Exhibit I – Material Weaknesses

Recommendations:

In addition to previously listed recommendations, we recommend DHS:

14. recruit and retain additional resources and align knowledgeable individuals to monitor and evaluate internal controls;
15. update policies and procedures to establish thresholds to validate the accuracy of WYO information used in the NFIP actuarial liability; and
16. enhance existing policies and procedures and documentation over the monitoring of service organizations to ensure gap periods and complementary end user controls are sufficiently assessed, analyzed, and addressed.

**Independent Auditors' Report**
Exhibit II – Significant Deficiency

II-F Grant Recipient Monitoring*Background:*

DHS's FEMA manages multiple Federal disaster and non-disaster grant programs. In FY 2025, DHS continued efforts to standardize its grant management activities. This included coordination among the grant regional offices and central management as well as among the various grant program offices. To monitor the grant recipients' spending of the Federal disaster and non-disaster grants awarded to them, DHS planned to perform site visits of the grant recipients and complete desk reviews of their submitted Federal Financial Reports.

Condition:

DHS did not fully implement control activities through policies (Principle 12). Specifically, at FEMA, DHS did not implement effective controls over the monitoring of grant recipients.

Causes:

The deficiency is a result of weaknesses in DHS's control environment, risk assessment process, and monitoring activities because DHS did not:

- recruit and retain additional resources to perform control responsibilities related to reviewing risk assessment criteria and selecting grant awards for monitoring (Principle 4);
- identify and analyze grant awards per established control thresholds to determine the appropriate scope of grant monitoring site visits and desk reviews to minimize residual risk (Principle 7); and
- effectively implement controls to remediate grants management deficiencies and execute corrective actions to address previously identified deficiencies that have existed for years (Principle 17).

Effects:

As a result of the deficiency described above, there is a reasonable possibility of inaccurate or unauthorized expense reporting by grant recipients and ineffective monitoring of open and closed grants, which may affect the recoverability of grant funds and increases the risk that DHS may not identify corrective actions for grant recipients timely.

Recommendations:

In addition to previously listed recommendations, we recommend DHS:

17. recruit and retain additional resources and align knowledgeable individuals to monitor and evaluate internal controls; and
18. implement controls to enhance existing procedures related to grant monitoring site visits and desk reviews.

**Independent Auditors' Report**
Exhibit III – Compliance and Other Matters

III-G Federal Managers' Financial Integrity Act of 1982

FMFIA requires agencies to establish effective internal control and information systems and to continuously evaluate and assess the effectiveness of their internal control. DHS has implemented a multi-year plan to implement OMB Circular No. A-123, *Management's Responsibility for Enterprise Risk Management and Internal Control*, to comply with FMFIA. However, the DHS *Secretary's Assurance Statement*, dated January 22, 2026, as presented in *Management's Discussion and Analysis* of DHS's FY 2025 Agency Financial Report, acknowledged the existence of material weaknesses, and therefore provided modified assurance that internal control over financial reporting was operating effectively as of September 30, 2025. DHS did not perform continuous monitoring and testing of both IT and business process-level controls for all significant areas. DHS did not fully establish effective systems, processes, policies, and testing procedures to ensure that internal controls were operating effectively throughout DHS.

Recommendation:

In addition to previously listed recommendations, we recommend DHS:

19. implement corrective actions to address internal control deficiencies to ensure compliance with FMFIA, and implement the recommendations provided in Exhibits I and II.



Independent Auditors' Report
Exhibit III – Compliance and Other Matters

III-H Federal Financial Management Improvement Act of 1996

FFMIA Section 803(a) requires that agency Federal financial management systems comply with: (1) applicable Federal accounting standards; (2) Federal financial management system requirements; and (3) the USSGL at the transaction level. FFMIA emphasizes the need for agencies to have systems that can generate timely, reliable, and useful information with which to make informed decisions to ensure ongoing accountability.

As of September 30, 2025, DHS did not comply with Federal financial management system requirements and application of the USSGL at the transaction level in certain instances, as described in Exhibits I-A and I-B. The results of our tests disclosed no instances in which DHS's financial management systems did not substantially comply with the applicable Federal accounting standards. The DHS Secretary stated in the *Secretary's Assurance Statement*, dated January 22, 2026, that DHS's financial management systems did not substantially comply with government-wide requirements mandated by FFMIA.

Recommendation:

In addition to previously listed recommendations, we recommend DHS:

20. enhance the capabilities of its financial management systems to ensure compliance with FFMIA, and implement the recommendations provided in Exhibits I and II.



OFFICE OF INSPECTOR GENERAL
U.S. Department of Homeland Security

Appendix A
Management Comments to the Draft Report

U.S. Department of Homeland Security
Washington, DC 20528



**Homeland
Security**

January 16, 2026

MEMORANDUM FOR: The Honorable Joseph V. Cuffari
Inspector General

FROM: Holly C. Mehringer **HOLLY C MEHRINGER**
Senior Official Performing the Duties of the Chief Financial Officer

SUBJECT: Fiscal Year 2025 Financial Statement and Internal Control Over
Financial Reporting Audit

Digitally signed by HOLLY C MEHRINGER
Date: 2026.01.16
10:48:31 -0500

Thank you for your audit report on the Department's Financial Statements and Internal Control over Financial Reporting for Fiscal Year (FY) 2025. We concur with the Independent Public Accountant's conclusion. We are pleased to have earned an unmodified (clean) opinion on our consolidated financial statements for the thirteenth consecutive year.

Our FY 2025 results demonstrate the Department's commitment to continuous improvement of our processes as shown by the remediation of the seized and forfeited property material weakness. We appreciate the thorough review and recognition of our progress in remediating this previously identified material weakness.

The Department continues to prioritize maturing its information technology controls and implement an aggressive plan to modernize our financial systems. In FY 2025, the Department reached full operational capability on the Financial Systems Modernization Solution, which has been implemented at the U.S. Coast Guard, the Transportation Security Administration and the Countering Weapons of Mass Destruction Office. DHS plans to deploy a modern solution at the Federal Emergency Management Agency in FY 2027, followed by modernization at U.S. Immigration and Customs Enforcement.

The Department is committed to implementing the necessary corrective actions and will continue to work diligently to address all identified issues as identified in the auditor's report.

I value our productive working relationship and look forward to continued partnership and collaboration with the Office of the Inspector General and the Independent Public Accountant in the years ahead.

**OFFICE OF INSPECTOR GENERAL***U.S. Department of Homeland Security***Appendix B
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